INSURANCE ACT, 2079 (2022)

Act No. 27 of the year 2079

(Unofficial Translation)

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1	Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080	2080.12.30
2	Act Amending Some Nepal Acts, 2082	2082.04.14

(Incorporating amendments made up to the end of Shrawan 2082)

An Act Made to Amend and Consolidate the Law relating to Insurance

Preamble: Whereas, it is expedient to amend and consolidate the prevailing law relating to insurance and make it timely, in order to develop the insurance system and insurance business by making them organized, regulated, competitive and reliable, to provide quality and dependable insurance service to the general public through healthy competition in the insurance business, and to protect the rights and interests of the insured by effectively regulating the insurance business;

Now, therefore, the Federal Parliament has enacted this Act.

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Chapter-1
Preliminary

1. Short Title, Extent and Commencement:–

(1) This Act may be called the "Insurance Act, 2079."

(2) This Act shall extend throughout the State of Nepal, and shall also apply to branch offices established by an insurer outside Nepal, wherever situated.

(3) This Act shall come into force on the thirty-first day from the date of its authentication.

2. Definitions:–

Unless the subject or context otherwise requires, in this Act,-

(a) "Chairperson" means the Chairperson of the Board of Directors referred to in Section 6.

(b) "Other insurance service provider" means any person or organization, other than a licensed insurer or insurance intermediary licensed by the Authority to carry out insurance-related work.

(c) "Basic shareholder" means a person, company, or organization holding one percent or more of the paid-up capital shares of an insurer, and the term also includes a joint family where members of the same joint family, holding shares separately, together hold one percent or more of the shares.

(d) "Licence" means a licence issued to carry out insurance business under this Act, and the term also includes a licence issued to an insurance agent and other insurance service provider to carry out work as prescribed.

(e) "Joint family" means the husband or wife, son, daughter-in-law, daughter, son-in-law, father, mother, stepmother of the concerned person, and other persons whom he/she is obliged to maintain or who are obliged to maintain him/her.

(f) "Chief Executive Officer" means the chief executive officer of an insurer appointed under Section 57, who is responsible for the administration, management, or business operation of the insurer.

(g) "Net worth" means the amount remaining after deducting, from the total assets currently held by an insurer, all liabilities including any reserve, fund, or accumulated profit of whatever name held to which the paid-up capital and shareholders belong, other than any goodwill of the insurer, and after deducting accumulated losses, if any.

(h) "Life insurance" means a contract entered into by an insurer with an insured whereby, in consideration of a certain sum being paid in lump sum or in instalments, based on the insured person's age, in relation to the life of a person, a certain specified sum shall be paid to that person or a person authorized by him/her, or, in

the event of his/her death, to the person authorized or nominated by him/her or to his/her heir, as mentioned in the policy.

(i) "Third party facilitator" means a licensed insurance intermediary who acts as a medium between an insurer and the insured for conducting insurance.

(j) "Prescribed" or "as prescribed" means prescribed or as prescribed in this Act or in the Rules or Regulations framed under this Act.

(k) "Close relative" means a member of the joint family, or father-in-law, mother-in-law, elder brother, younger brother, elder sister, younger sister, sister-in-law (brother's wife), daughter-in-law, brother-in-law, sister-in-law, husband of husband's sister, uncle (paternal), aunt (paternal uncle's wife), maternal uncle, maternal uncle's wife, grandson, granddaughter, grandson's wife, nephew, niece, paternal aunt, paternal aunt's husband, nephew (brother's son), niece (brother's daughter), nephew, niece, and includes the husband, wife, son's wife, or daughter's husband of such relatives.

(l) "Non-life insurance" means insurance other than life insurance and reinsurance, and the term also means a contract entered into by an insurer with an insured whereby, in consideration of premium, the insurer, having accepted a risk relating to certain property or liability as mentioned in the policy, agrees to provide a certain specified sum as compensation or indemnity.

(m) "Reinsurance" means a contract entered into by an insurer with another insurer or reinsurer whereby a risk exceeding that which the first insurer intends to retain is borne by the reinsurer or by another insurer.

(n) "Proposed insurance company" means a public limited company proposed to be established under prevailing law with the objective of carrying out insurance business.

(o) "Authority" means the Authority referred to in Section 3.

(p) "Insurer" means an insurance company or reinsurance company licensed to carry out insurance business under this Act.

(q) "Insurance agent" means, other than an employee of an insurer, a licensed insurance intermediary, whether a person or an organization, who works on behalf of an insurer on a commission basis.

(r) "Insurance contract" means a written agreement made between an insurer and the insured whereby, on payment of a specified premium, the insurer bears risk under agreed terms and conditions.

(s) "Insurance broker" means a licensed insurance intermediary, whether a person or an organization, licensed to act as a broker in relation to insurance business.

(t) "Insurance pool" means a collective insurance fund established for insurers to collectively bear risk, jointly collect premium, arrange reinsurance and manage claim settlement, in relation to insurance of a particular nature or risk.

(u) "Insurance intermediary" means an insurance agent, insurance surveyor, insurance broker, third party facilitator, or any other insurance intermediary as prescribed, licensed by the Authority.

(v) "Insurance business" means life insurance business, non-life insurance business, or reinsurance business.

(w) "Actuary" means a person who has obtained the title of actuary from a recognized institution for the purpose of valuing the assets and liabilities of an insurer.

(x) "Policy" means the insurance document issued by an insurer to the insured upon accepting any risk.

(y) "Insurance surveyor" means a licensed insurance intermediary, whether a person or an organization, licensed to value damaged property and liability.

(z) "Premium" means the amount taken by an insurer from the insured, in lump sum or in instalments, as consideration for insurance.

(aa) "Insured" means a person who takes out insurance, and the term also includes a person entitled to benefit from the policy.

(bb) "Bonus" means the share or amount of profit provided to the insured on the basis of the sum insured under a participating (with-profit) life insurance policy.

(cc) "Ministry" means the Ministry of Finance of the Government of Nepal.

(dd) "Micro-insurance" means micro-insurance carried out under Chapter 8, targeted at people with low income and those who are economically, socially, and geographically disadvantaged.

(ee) "Auditor" means an auditor licensed under prevailing law to conduct audits.

(ff) "Financial interest" means a state of involvement in an insurer of the following persons, organizations, firms, companies, or corporate bodies:-

(1) a director or basic shareholder or chief executive officer, or a member of his/her joint family,

(2) a sole proprietorship or joint firm, company, or corporate body that has the authority to nominate a director,

(3) a director or chief executive officer of the firm, company, or corporate body referred to in sub-clause (2), or a member of his/her joint family, or

(4) where a person, firm, company, or corporate body referred to in sub-clause (1) or

(2) holds ten percent or more of the paid-up capital shares of any other sole proprietorship or joint firm, company, or corporate body, such firm, company, or corporate body.

(gg) "Foreign insurance company" means an insurance company licensed under this Act to carry out insurance business within Nepal, having obtained a licence to carry out insurance business in a foreign country.

(hh) "Management level" means a manager involved in the decision-making process relating to the operation and management of any corporate body, and the term also includes a manager appointed as the head of such corporate body or any branch or unit thereof with authority to exercise final responsibility or authority, or an official designated as manager, or an officer of the second class or above.

(ii) "Board of Directors" means the Board of Directors of an insurer constituted under Section 47.

(jj) "Member" means a member of the Board of Directors of the Authority, and the term also includes the Chairperson.

(kk) "Board" means the Board of Directors of the Authority constituted under Section 6.

(ll) "Collective insurance fund" means a collective insurance fund (insurance pool) established for insurers to collectively bear risk, jointly collect premium, arrange reinsurance, and manage claim settlement in relation to insurance of a particular nature or risk.

(mm) "Permanent residency permit" means a Diversity Immigrant Visa (DV), Permanent Resident Visa (PR), or Green Card provided to a Nepali citizen enabling him/her to reside permanently in a foreign country, with or without conditions, and the term also includes any permanent residency permit of whatever name given to a Nepali citizen to reside permanently abroad.

Chapter-2
Establishment of the Authority and its Functions, Duties and Powers

3. Establishment of the Authority:–

(1) The Nepal Insurance Authority has been established as the regulatory body of insurance business.

(2) The central office of the Authority shall be located in Kathmandu Valley, and the Authority may open its offices at any place within or outside Nepal as required.

4. Authority to be an Autonomous and Corporate Body:–

(1) The Authority shall be an autonomous corporate body with perpetual succession and shall acquire a legal personality.

(2) The Authority shall exercise powers, perform duties, and discharge liabilities under prevailing law in the capacity of a legal person.

5. Functions, Duties and Powers of the Authority:–

In addition to the functions, duties, and powers mentioned elsewhere in this Act, the functions, duties, and powers of the Authority shall be as follows:-

(a) to act as an advisor to the Government of Nepal on insurance matters,

(b) to formulate national insurance policy and recommend it to the Government of Nepal,

(c) to grant prior approval for the establishment of an insurance company, and to grant and revoke licences,

(d) to issue regulations, directives, guidelines, and orders necessary for insurance business,

(e) to grant, renew, and revoke licences of insurance intermediaries,

(f) to determine capital and capital funds relating to insurance business,

(g) to formulate and implement programmes necessary to make insurance business organized, regulated, competitive, and reliable,

(h) to carry out or cause to be carried out study, research, training, orientation, and awareness activities for the development and expansion of insurance business,

(i) to decide on complaints filed by an insured against an insurer regarding determination of insurance liability,

(j) to resolve disputes between various parties in insurance,

(k) to carry out necessary work relating to minimizing the risk of insurance business,

(l) to formulate and implement programmes for producing skilled manpower and promoting insurance education for the development of insurance business,

(m) to formulate and implement programmes relating to the promotion of insurance business so as to extend the reach of insurance to all citizens,

(n) to promote micro-insurance business so as to extend the reach of insurance to people of the low-income class,

(o) to coordinate and cooperate with, and exchange information with, other governmental and non-governmental bodies for the regulation, inspection, supervision, and development of insurance business,

(p) to cooperate with insurance regulatory bodies of foreign countries as well as international organizations that conduct studies, research, and training programmes relating to insurance,

(q) to represent, on behalf of the Government of Nepal or the Authority, international organizations relating to insurance regulation, and to obtain membership of such organizations,

(r) to operate the Policyholders' Protection Fund and to carry out and cause to be carried out other necessary work,

(s) to coordinate with the Provinces regarding insurance,

(t) to carry out necessary work required to be done in the capacity of the regulatory body relating to insurance.

6. Constitution of the Board:–

(1) The Authority shall have a Board of Directors as follows:-

(a) A person appointed by the Government of Nepal --- Chairperson

(b) Joint Secretary, Ministry of Finance --- Member

(c) Joint Secretary, Ministry of Law, Justice and Parliamentary Affairs --- Member

(d) One person from among persons with special knowledge of life insurance business --- Member

(e) One person from among persons with special knowledge of non-life insurance business --- Member

(2) In appointing members under clauses (d) and (e) of sub-section (1), at least one woman shall be included.

(3) An officer-level employee designated by the Authority shall act as the Secretary of the Board.

7. Appointment of Chairperson or Member:–

(1) For the appointment of the Chairperson of the Board, there shall be a committee consisting of the concerned Member of the National Planning Commission looking after the relevant sector as coordinator, the Secretary of the Ministry, and an expert member related to the insurance sector, which shall recommend names to the Government of Nepal, and the Chairperson shall be appointed under this Section on the recommendation of that committee.

(2) The committee under sub-section (1), while recommending for the appointment of the Chairperson, shall recommend the names of three persons from among persons who fulfil the qualifications under Section 8 to the Government of Nepal.

(3) The Government of Nepal shall appoint one person to the post of Chairperson from among the persons recommended under sub-section (2).

(4) Appointment of the Chairperson under sub-section (3) shall be made one month prior to the post falling vacant.

(5) The Government of Nepal shall appoint members under clauses (d) and (e) of sub-section (1) of Section 6 from among persons fulfilling the qualifications under sub-section (1) of Section 8. Such appointment shall ensure representation of at least one woman.

8. Qualification and Disqualification of Chairperson or Member:–

(1) A person shall fulfil the following qualifications to become the Chairperson or a Member of the Board:-

(a) have obtained at least a Master's degree or equivalent in insurance, monetary, banking, finance, commerce, management, public administration, statistics, mathematics, economics, or law, and have at least five years of senior managerial work experience in the related field,

(b) have a high moral character,

(c) not be disqualified under sub-section (3).

(2) Notwithstanding anything contained in sub-section (1), the above qualification shall not be required in the case of a member under clauses (b) and (c) of sub-section (1) of Section 6.

(3) Any of the following persons shall be deemed disqualified for appointment to, or for continuing to hold, the post of Chairperson or Member:-

(a) a non-Nepali citizen,

(b) an employee, director, consultant, or serving employee of an insurer,

(c) a basic shareholder of any insurer, whether personally or through a member of his/her joint family, or a person with financial interest, or a basic shareholder of a corporate body having a financial interest in any insurer,

(d) a person declared insolvent under prevailing law,

(e) a person incapable of serving on the Board due to physical or mental illness,

(f) a person convicted by a court of a criminal offence involving moral turpitude, such as corruption, banking or insurance related offences, fraud, human trafficking, money laundering, organized crime, etc.,

(g) a person blacklisted under prevailing law, unless three years have elapsed since removal from such blacklist,

(h) a person who has been penalized by a court or a regulatory body established under prevailing law,

(i) a person who has obtained permanent residency of a foreign country,

(j) a person who has not completed two years since ceasing to hold office as Chairperson, member, chief executive officer, or senior management official of the Board of Directors of an insurer.

9. Term of Office of Chairperson and Member:–

(1) The term of office of the Chairperson and of a member appointed under clauses (d) and (e) of sub-section (1) of Section 6 shall be four years from the date of appointment.

(2) The Government of Nepal may, if it deems appropriate, reappoint the Chairperson or a member for one further term.

10. Terms of Service of Chairperson and Member:–

(1) The Chairperson shall be a full-time official of the Authority.

(2) Matters relating to the remuneration, facilities, and other terms of service of the Chairperson or Member shall be as prescribed.

11. Oath:–

Before assuming office, the Chairperson and members appointed under clauses (d) and (e) of sub-section (1) of Section 6 shall take an oath of office and secrecy before the Finance Minister of the Government of Nepal, in the format prescribed in the Schedule.

12. Circumstances of Vacancy of Office of Chairperson or Member:–

(1) The Chairperson or a Member shall not continue to hold office in any of the following circumstances:-

(a) if he/she tenders written resignation to the Government of Nepal,

(b) if he/she becomes disqualified to hold office under sub-section (3) of Section 8,

(c) if he/she is removed by the Government of Nepal under sub-section (2) on grounds of misconduct, incompetence, or failure to discharge duties of office.

(2) Where the Government of Nepal has to remove the Chairperson or a Member on the grounds mentioned in clause (c) of sub-section (1), it may do so on the recommendation of an inquiry committee as follows:-

(a) One person appointed by the Government of Nepal from among retired judges of the High Court --- Chairperson

(b) Two persons from different fields, appointed by the Government of Nepal from among persons holding a Master's degree and having at least ten years of experience in the insurance or economic field --- Member

(3) Once an inquiry committee has been constituted under sub-section (2) in respect of the Chairperson or any Member, such person shall be automatically suspended until the inquiry period is over.

(4) The term of the committee constituted under sub-section (2) shall be a maximum of three months from the date of its constitution.

(5) If, for any reason, the office of the Chairperson or a Member of the inquiry committee constituted under sub-section (2) falls vacant, it shall be filled for the remaining period through the same process by which it was appointed.

13. Functions Duties and Powers of the Chairperson:–

(a) to act as the chief administrative and chief executive officer of the Authority,

(b) to submit the Authority's insurance policy and other policies, rules, regulations, directives, procedures, periodic plans, and annual programmes, prepared by it, to the Board for approval,

(c) to implement or cause to be implemented the Authority's insurance policy and other policies, regulations, directives, procedures, periodic plans, and annual programmes,

(d) to direct and manage the Authority,

(e) to organize and regularize the work to be performed by the Authority,

(f) to [1]arrange for conciliation in disputes between an insurer and the insured,

(g) to carry out or cause to be carried out work relating to regulation, inspection, or monitoring of insurance business,

(h) to grant approval to open branch offices, sub-branches, and other offices of an insurer, or to order their closure,

(i) to exercise the powers under clauses (a), (b), (c), (d), and (e) of sub-section (1) and clauses (b) and (c) of sub-section (2) of Section 134 and take regulatory action,

(j) to delegate powers conferred on him/her to subordinate employees and cause necessary work to be carried out,

(k) to represent, or cause to be represented, the Authority in international organizations.

14. Information to be Given to the Authority:–

The Chairperson and Members shall, within thirty days of their appointment, inform the Authority of the following matters:-

(a) details of the profession, employment, or business in which they are engaged, and of the office,

(b) whether they or any member of their joint family is a shareholder of any insurer, and if so, the number of shares held,

(c) whether they or any member of their joint family has, within the preceding three years, been a director, officeholder, auditor, or consultant of any insurer,

(d) whether they or any member of their joint family has, within the preceding three years, worked as an insurance intermediary,

(e) details of movable and immovable property held in their own name or that of a member of their joint family.

15. Regulatory Opportunity Not to be Misused:–

(1) The Chairperson or a Member of the Board, an employee of the Authority, or an auditor shall not, while performing duties in his/her official capacity, make available to

[1]Amended by the Act Amending Some Nepal Acts, 2082.

any person other than the person concerned, or disclose the source of, any information that has come to his/her knowledge and which is required to be kept confidential under law, whether or not it has been made public.

(2) An officeholder under sub-section (1) shall not use or cause to be used any confidential information that has come to his/her knowledge while performing duties in his/her official capacity, for the benefit, interest, or advantage of himself/herself or any member of his/her joint family.

(3) No person, being the Chairperson or a Member of the Board, an employee of the Authority, an auditor, a representative, or any person, firm, or company working under any contract with the Authority, shall, while performing any work on behalf of the Authority, take or give any kind of benefit, facility, concession, or advantage to himself/herself, his/her joint family, or any other person by exercising the regulatory power of the Authority.

(4) Where any act contrary to this Section is done, the concerned officeholder shall be deemed to have misused authority under prevailing law, and information thereof shall be sent in writing to the concerned body.

16. Meetings of the Board:–

(1) Meetings of the Board shall be held as necessary, not less than once a month.

(2) Meetings of the Board shall be held on the date, place, and time fixed by the Chairperson.

> Provided that where at least three Members make a written request for a meeting of the Board to be called, the Chairperson, or in his/her absence the senior-most Member, shall call a meeting of the Board within seven days.

(3) The Secretary of the Board shall make available to Members the subjects to be discussed at the meeting at least twenty-four hours before the meeting is held.

(4) The presence of more than fifty percent of the total number of Members of the Board shall constitute a quorum for a meeting of the Board.

(5) The Chairperson shall preside over meetings of the Board, and in his/her absence, the senior-most Member shall preside.

(6) The decision of the majority shall prevail in the Board, and in the event of a tie, the person presiding over the meeting shall cast the deciding vote.

(7) The Board may, if it considers necessary, invite any expert or officeholder relating to insurance or a related subject to attend its meeting.

(8) Decisions of the Board shall be recorded in a separate book, and such book shall be signed by the person presiding over the meeting and all Members present.

(9) The Secretary of the Board shall certify and preserve the decisions of the Board.

(10) Other procedures relating to meetings of the Board shall be as determined by the Board itself.

17. Restriction on Taking Part in Decision-Making in Case of Conflict of Interest:–

(1) Where any proposal in which the Chairperson, a Member, or any member of his/her joint family has a financial, personal, or professional interest is to be discussed at a meeting of the Board, such Member shall inform the Board of that fact before the meeting begins.

(2) Where, in relation to a proposal under sub-section (1), a Member or a member of his/her joint family has an interest, such Member shall not take part in the discussion of the meeting on that matter.

(3) A decision made contrary to sub-section (1) or (2) shall not apply to such Member.

18. Power to Constitute Committees and Sub-Committees:–

(1) The Board may, as necessary, constitute other committees or sub-committees to assist it in performing any work or action it is required to perform under this Act or the Rules framed under this Act.

(2) The functions, duties, powers, and procedures of a committee or sub-committee constituted under sub-section (1), and the facilities to be received by members of such committee or sub-committee, shall be as determined by the Board.

19. Provisions Relating to Employees:–

(1) The Authority shall appoint the required number of employees to conduct its work smoothly.

(2) Matters relating to the appointment, remuneration, terms of service, facilities, and other arrangements of the employees of the Authority shall be as prescribed.

(3) Approval of the Ministry shall be obtained before increasing the staffing structure, remuneration, or facilities of employees of the Authority under this Section.

Chapter-3
Fund, Accounts and Audit of the Authority

20. Fund of the Authority:–

(1) The Authority shall have a separate fund.

(2) The fund under sub-section (1) shall consist of amounts from the following sources:-

(a) amounts received from the Government of Nepal,

(b) amounts received for establishment, prior approval, and licensing of insurance companies,

(c) amounts received for granting or renewing licences of insurance intermediaries,

(d) amounts received as regulatory fees for insurance business,

(e) amounts received from foreign governments and international organizations,

(f) amounts received from other sources.

(3) Prior approval of the Ministry shall be obtained before receiving amounts under clause (e) of sub-section (2).

(4) All amounts received under sub-section (2) shall be deposited in an account opened in a bank or financial institution licensed under prevailing law.

(5) All expenditures on behalf of the Authority shall be met from the amount deposited in the fund under sub-section (1).

(6) Out of the amount deposited in the fund under this Section, the amount remaining after the amount annually allocated for the operation and management of the Authority and for insurance development, and an additional amount equal to fifty percent thereof, shall be deposited annually into the Federal Consolidated Fund.

(7) Other matters relating to the operation of the fund under sub-section (1) shall be as prescribed.

21. Accounts of Income and Expenditure:–

(1) The Authority shall maintain its books of account, accounts, and financial statements accurately in accordance with the prevailing Nepal Accounting Standards, so as to clearly reflect its financial position.

(2) The Authority shall maintain an internal control system as prescribed in its operations.

22. Audit:–

(1) The Authority shall be audited by the Auditor General.

(2) The Authority shall have its internal audit conducted regularly.

23. Audit Committee:–

(1) The Board shall constitute an Audit Committee accountable to itself, as follows:-

(a) One director designated by the Board --- Coordinator

(b) One expert of the relevant subject designated by the Board --- Member.

(2) The departmental head looking after the internal audit of the Authority shall act as the Secretary of the Audit Committee.

(3) Matters relating to the functions, duties, and powers of the Audit Committee under sub-section (1) shall be as prescribed.

Chapter-4
Licence

24. Insurance Business Not to be Conducted without Licence:–

(1) No person shall, without obtaining a licence under this Act, directly or indirectly carry on or cause to be carried on any transaction, business, industry, or trade relating to insurance business, using or not using words such as insurance, reinsurance, insurance fund, etc.

(2) No person shall, in contravention of sub-section (1), use words such as insurance, reinsurance, insurance fund, etc. in the name of his/her company, firm, or organization for the purpose of carrying on insurance business transactions, business, trade, or industry or for any other purpose.

(3) No person shall carry on or cause to be carried on insurance business transactions or insurance business with any company, firm, or organization other than an insurer licensed under this Act.

25. Establishment of an Insurance Company:–

(1) A person wishing to carry on insurance business under this Act shall establish an insurance company by registering it as a public limited company under prevailing law.

(2) Notwithstanding anything contained in sub-section (1), an insurance company already established and licensed to carry on insurance business prior to the commencement of this Act need not re-establish a company for the same purpose.

(3) No company or corporate body in which a single person or his/her joint family or a member of his/her joint family is a basic shareholder may invest in shares exceeding fifteen percent of the paid-up capital of an insurance company to be established under this Section.

Provided that this provision shall not apply to shares held by the Government of Nepal, a Provincial Government, or a foreign investor.

(4) A person or organization holding shares exceeding the limit mentioned in sub-section (3) at the time this Act commences shall bring the shareholding within the limit under that sub-section within two years from the commencement of the Act.

(5) A person or his/her joint family, firm, company, or organization investing in shares of an insurance company under sub-section (3) shall not, when investing in another insurance company carrying on the same type of insurance business, invest in shares amounting to one percent or more of the paid-up capital of such other insurance company, nor otherwise acquire ownership of shares of such company.

26. Prior Approval to be Obtained:–

(1) A person wishing to establish a company under Section 25 to carry on insurance business shall submit an application to the Authority for prior approval, together with the prescribed fee and the following documents:-

(a) the memorandum of association and articles of association of the proposed insurance company,

(b) a feasibility study report on the insurance business and details of infrastructure,

(c) personal details of the founders in the format prescribed by the Authority,

(d) a certified copy and summary of any agreement made among the founders prior to establishing the proposed insurance company,

(e) proof that the founder has paid taxes up to the previous fiscal year, immediately preceding the application for prior approval,

(f) where an organization has submitted the application, the following details:-

(1) the decision of the Board of Directors regarding establishment of the insurance company,

(2) the memorandum and articles of association of the concerned company,

(3) prescribed documents proving capacity to invest,

(4) where the organization is one that carries on a regulated business or transaction under prevailing law, the permission of its regulatory body to invest in insurance business,

(g) other details and documents as determined by the Authority.

(2) A foreign insurance company may, having obtained the prior approval of the Authority, establish an insurance company in joint venture with a Nepali corporate body or Nepali citizen, or open a branch office in Nepal.

(3) A foreign insurance company wishing to establish a joint venture insurance company or open a branch office in Nepal under sub-section (2) shall submit an application to the Authority for prior approval, together with the prescribed fee.

(4) When submitting an application under sub-section (3), the applicant shall, in addition to the details mentioned in sub-section (1), attach the following details and documents:-

(a) a copy of the licence obtained to carry on insurance business in the concerned country,

(b) proof of up-to-date renewal of the licence to carry on insurance business in the concerned country,

(c) proof of approval granted by the regulatory body of the concerned country to open a branch office in Nepal,

(d) the decision of the Board of Directors of the concerned insurance company regarding establishment of a joint venture insurance company or opening of a branch office in Nepal,

(e) the audit report of the last five fiscal years of such company, showing financial capability,

(f) the list of directors of the foreign organization and their shareholding ratio, and details of organizations in which they have a financial interest,

(g) other details and documents as determined by the Authority.

(5) Upon examining an application received under sub-section (1) or (3), if it appears appropriate to grant prior approval for establishment of a joint venture insurance company in Nepal by such insurance company or foreign insurance company, or for opening a branch office, the Authority shall grant prior approval to the applicant in the prescribed format within sixty days of receipt of the application.

(6) An insurer shall obtain the prior approval of the Authority before amending its memorandum or articles of association.

27. Power to Refuse Prior Approval:–

(1) Notwithstanding anything contained in Section 26, the Authority may refuse to grant prior approval to establish an insurance company or to open a branch office of a foreign insurance company in any of the following circumstances:-

(a) where the name of the proposed insurance company is similar to the name of any already registered insurer,

(b) where the name of the proposed insurance company, or the insurance business it intends to carry on, appears unsuitable or undesirable from the point of view of public interest, good conduct, decency, religion, caste, or public order,

(c) where, upon studying the feasibility study report, details, documents, and other infrastructure submitted by the applicant, it appears that the market for insurance business is limited, and it cannot be believed that insurance business could be conducted in a healthy and competitive manner if a licence is granted to an additional insurance company,

(d) where the objective of the proposed insurance company is found to be or to become contrary to prevailing law,

(e) where the applicant fails to submit the documents and details specified by the Authority under Section 26,

(f) where each founder does not agree to take at least ten thousand units of shares of the proposed insurance company, or fails to clearly disclose the number of shares to be taken,

(g) where the proposed insurance company is not found to have proposed to maintain the paid-up capital under Section 36,

(h) where any founder of the proposed insurance company has been convicted by a court of an offence relating to insurance, banking offence, cheating, forgery, fraud, money laundering, corruption, human trafficking, abduction, or hostage-taking, or any other offence involving moral turpitude, and five years have not elapsed since serving such sentence,

(i) where the proposed insurance company is found to intend to carry on any business other than insurance business,

(j) where the grant of prior approval has been suspended under Section 31,

(k) where any founder of the proposed insurance company, or a member of his/her joint family, has been blacklisted under prevailing law and three years have not elapsed since release from such blacklist,

(l) where shares exceeding fifteen percent of the paid-up capital which the founders of the proposed insurance company have committed to pay up immediately would be owned by a single person, joint family, organization, or group

Provided that this provision shall not apply to shares taken by the Government of Nepal, a Provincial Government, or a foreign investor,

(m) where a person has a basic shareholding, personally or through his/her joint family, in another insurer carrying on the same type of insurance business.

(2) Notwithstanding anything contained in sub-section (1), the Authority shall not grant prior approval for establishing a company to carry on more than one type of insurance business other than reinsurance business.

(3) Where the Authority refuses to grant prior approval to establish an insurance company under this Section, it shall give written notice, with reasons, to the applicant within sixty days of receipt of the application.

28. Application to be Submitted:–

(1) A company established under prevailing law, having obtained prior approval under Section 26, and wishing to carry on insurance business, shall submit an application to the Authority together with the following details and documents:-

(a) the prior approval given by the Authority to establish the insurance company,

(b) a copy of the certificate of incorporation of the insurance company,

(c) copies of the memorandum and articles of association of the insurance company,

(d) where the founder of the insurance company is a company or corporate body, the audit report, including annual financial statements, showing that such company or corporate body has paid taxes for the preceding three fiscal years,

(e) the names of the basic shareholders of the founder company or corporate body under clause (d) and details of their joint family members,

(f) the type of insurance business the insurer wishes to conduct,

(g) the class of insurance business (portfolio) the insurer wishes to conduct,

(h) details of the infrastructure necessary to conduct insurance business, or, where a building has been rented, a copy of the agreement in that regard,

(i) personal details of the Chief Executive Officer and other management-level officials,

(j) arrangements relating to bearing insurance risk,

(k) details relating to investment policy, underwriting, claims, reinsurance, and information technology,

(l) draft of the proposed policy, or, in the case of a reinsurance company, the draft of the proposed reinsurance contract,

(m) documents certifying that the amount of shares committed to be taken by founders has been paid up,

(n) details of the organizational structure of the company,

(o) bye-laws relating to the remuneration, terms of service, and facilities of the company's employees,

(p) bye-laws relating to the financial administration and procurement of the company,

(q) other details and documents as determined by the Authority.

(2) Where a branch office of a foreign insurance company submits an application to carry on insurance business, it shall, in addition to the details mentioned in sub-section (1), attach the following details:-

(a) the licence granted by the regulatory body of the concerned country to such foreign insurance company to carry on insurance business in Nepal,

(b) evidence of registration of the branch office of such foreign insurance company in Nepal,

(c) where there is any difference in the details submitted under Section 26 after such foreign insurance company obtained prior approval from the Authority to register its branch office, details thereof,

(d) other details and documents as determined by the Authority.

29. Grant of Licence:–

(1) Upon examining the application received under Section 28 and the details and documents attached thereto, if the applicant is found competent to carry on insurance

business under this Act, the Authority shall, upon collecting the prescribed fee, grant a licence to the applicant within sixty days of receipt of the application.

(2) When granting a licence under sub-section (1), such licence shall clearly mention the type and class of insurance business which the applicant is permitted to conduct under Section 61.

(3) A licence issued under sub-section (1) shall be deemed effective from the date of its issuance, unless it is mentioned that it shall be effective from a specific date.

(4) When granting a licence under this Section, the Authority may, having regard to prevailing law, the financial and organizational structure of the insurer, and the interests of the insured, specify necessary conditions to be complied with by the insurer.

(5) Notwithstanding anything contained in sub-section (4), the Authority may, by issuing directives under this Act, specify or amend conditions to be complied with by an insurer while conducting insurance business.

(6) It shall be the duty of the concerned insurer to comply with the conditions specified by the Authority under sub-sections (4) and (5).

(7) A licence granted to an insurer under this Section shall not be transferable.

(8) Notwithstanding anything else contained in this Section, where the applicant fails to submit any details or documents required to be submitted under Section 28, or where necessary infrastructure for conducting insurance business has not been arranged, or where, for any other reason, it does not appear reasonable to grant a licence because the interests of the insured cannot be protected, the Authority shall, stating the reasons, notify the applicant thereof within sixty days of receipt of the application.

30. Insurance Business to be Commenced:–

(1) An insurer shall commence the insurance business mentioned in the licence within six months of obtaining the licence.

(2) Where the insurer is unable to commence insurance business within the period under sub-section (1), it may, stating proper grounds and reasons, apply to the Authority for extension of time before expiry of such period.

(3) Upon examining an application received under sub-section (2), if the matter stated in the application appears reasonable, the Authority may extend the period for six months.

(4) The insurer shall commence insurance business within the extended period under sub-section (3) and notify the Authority thereof.

(5) Where insurance business is not commenced within the period under sub-section (3), the Authority may cancel the licence of such insurer.

31. Power to Suspend Grant of Prior Approval or Licence:–

Notwithstanding anything else contained in this Act, the Authority may, on the basis of study, research, and evaluation regarding the insurance business market, suspend, for a specified period, the grant of prior approval under Section 26 to establish an insurance company or open a branch office of a foreign insurance company, or the grant of a licence under Section 29.

32. Power to Open Branch Offices:–

An insurer may, with the prior approval of the Authority, open branch offices within Nepal or abroad, as prescribed.

33. Power to Open Liaison Office:–

(1) A foreign insurance company may, with the prior approval of the Authority and subject to prevailing law, open a liaison office in Nepal.

Provided that such liaison office shall not be entitled to carry on insurance business or transactions.

(2) Other matters relating to the liaison office of a foreign insurance company shall be as prescribed.

34. Licence May be Cancelled:–

(1) Where an insurer wishes to cancel the licence for one or more classes (portfolios) of insurance under the type of insurance business for which it is licensed under this Act, it may apply to the Authority.

Provided that an insurer shall not apply to cancel all classes (portfolios) of insurance that it has been conducting.

(2) Upon examining an application received under sub-section (1), if the matter appears reasonable, the Authority may cancel the licence for such class (portfolio) of insurance business conducted by that insurer.

(3) Other matters relating to cancellation of a licence for a class (portfolio) of insurance business under this Section shall be as prescribed.

35. List to be Published:–

(1) The Authority shall publish an updated list of licensed insurers at least once every three months, through at least two national-level daily newspapers and the Authority's website.

(2) The list published under sub-section (1) shall include the date on which the insurer commenced transactions, its paid-up capital, premium, claims, and other details as determined by the Authority.

Chapter-5
Capital Fund and Share Allotment of Insurers

36. Paid Up Capital of the Insurer:–

(1) The minimum paid-up capital of the insurer shall be as prescribed by the Authority from time to time.

(2) Notwithstanding anything mentioned in sub-section (1), on the basis of the financial or capital market of the country, liabilities of the insurer or the financial position of insurers, the Authority may give orders to increase the paid-up capital by prescribing a time limit.

(3) On receipt of an order pursuant to sub-section (2), the insurers must fulfil the minimum paid-up capital within the time frame set by the Authority.

(4) The Authority may suspend the license of insurers failing to maintain the paid-up capital as per sub-section (1) or (2).

(5) Other provisions relating to capital of insurers shall be as prescribed.

37. Power to Order Reduction of Capital:–

(1) Notwithstanding anything contained in prevailing law, the Authority may order an insurer to reduce its paid-up capital in the following circumstances:-

(a) where the licence for any class (portfolio) of insurance previously conducted has been cancelled,

(b) where the insurer is found to have become a troubled insurer under Section 101.

(2) Notwithstanding anything contained in sub-section (1), the paid-up capital of an insurer shall not be reduced below the minimum paid-up capital fixed under sub-section (1) of Section 36.

38. Insurance Fund:–

(1) An insurer shall maintain an insurance fund in the quantity and ratio determined by the Authority.

(2) An insurer shall maintain a separate fund, as prescribed, for bearing the risk of each class (portfolio) of insurance it conducts.

(3) Amounts relating to one class (portfolio) of insurance shall not be deposited into the fund relating to another class (portfolio), nor shall liabilities be met from such fund.

39. Compulsory Reserve Fund:–

(1) An insurer shall maintain a separate compulsory reserve fund to bear liabilities relating to insurance business.

(2) The following amounts shall be deposited into the compulsory reserve fund under sub-section (1):-

(a) for an insurer conducting life insurance business, an amount not less than the total liability determined by the actuary on the basis of policies issued throughout Nepal,

(b) for non-life insurance business, an amount in the proportion determined by the Authority of the net premium shown in the income and expenditure of the business,

(c) for an insurer conducting non-life insurance business, fifty percent of the profit until it equals the paid-up capital prescribed for an insurer conducting non-life insurance business.

(3) An insurer may establish other reserve funds as necessary for conducting its business.

(4) Other matters relating to the compulsory reserve fund of an insurer conducting reinsurance business shall be as determined by the Authority.

(5) Other matters relating to the compulsory reserve fund and other reserve funds shall be as determined by the Authority.

40. Catastrophe Fund to be Maintained:–

(1) An insurer shall maintain a separate catastrophe fund to bear future losses arising from catastrophes.

(2) Other matters relating to the catastrophe fund shall be as determined by the Authority.

41. Claim Payment Fund and Reserve Fund:–

(1) An insurer shall establish a claim payment fund and reserve fund, and deposit into such fund the following amounts:-

(a) the amount for outstanding claim liabilities that could not be settled within the prescribed period,

(b) the amount for liability relating to insurance claims that have occurred with respect to insured property and liability but have not been reported to the insurer (incurred but not reported), or have not been adequately reported (incurred but not enough reported),

(c) the amount for the unexpired risk reserve of the insurer.

(2) Other matters relating to the fund under sub-section (1) and amounts to be deposited into such fund shall be as determined by the Authority.

42. Assets to Exceed Liabilities:–

(1) The total assets of an insurer shall exceed its total liabilities.

(2) For the purpose of sub-section (1), the ratio of total assets to total liabilities of any insurer (solvency margin) shall be as determined by the Authority.

(3) An insurer or branch office of a foreign insurance company that has been conducting insurance business at the time this Act commences shall maintain the ratio of assets to

liabilities (solvency margin) under sub-section (2) within the period specified by the Authority.

(4) For the purpose of this Section, the valuation of an insurer's total assets and liabilities shall be as prescribed.

43. Restriction on Distribution of Dividend:–

(1) Notwithstanding anything contained in prevailing law, an insurer shall not be entitled to declare and distribute dividend to its shareholders in the following circumstances:-

(a) until it has made arrangements for a risk-bearing fund or reserve fund, as determined under this Act and by the Authority, to cover its entire preliminary expenses and losses up to the preceding fiscal year,

(b) until it has met the minimum paid-up capital required under Section 36,

(c) until the ratio of assets to liabilities under Section 42 has been maintained,

(d) until the shares allotted for the general public have been distributed and fully paid up.

(2) An insurer shall obtain the approval of the Authority as prescribed before declaring dividend under prevailing law.

44. Allotment of Shares:–

(1) An insurer shall allot at least thirty percent of its total issued capital in shares for sale to the general public.

Provided that an insurer registered as a branch office of a foreign insurance company shall not be entitled to issue and sell shares.

(2) Of the shares allotted for the general public under sub-section (1), an insurer may set aside up to five percent for its employees.

(3) With the approval of the Authority, an insurer may convert the remaining portion into general public shares, provided the ownership of the founder share group does not fall below fifty-one percent.

(4) Notwithstanding anything else contained in this Section, matters relating to shares of an insurer established under the ownership of the Government of Nepal or a Provincial Government shall be as determined by the Government of Nepal.

(5) Other matters relating to allotment and sale/distribution of shares of an insurer shall be as per the prevailing federal law relating to securities.

45. Prospectus and Issue of Shares:–

(1) Before making a public issue of securities, an insurer shall submit to the Authority a prospectus approved by the Securities Board of Nepal under prevailing law.

(2) Until a prospectus is submitted under sub-section (1), neither the insurer nor anyone on its behalf shall publish such prospectus.

(3) The Authority shall not register such prospectus until it receives written information that the Securities Board of Nepal has approved the prospectus under sub-section (1).

(4) An insurer may issue shares to the general public only after completion of one year from commencement of insurance business, and the audit of the preceding year must have been completed before such issue.

(5) Notwithstanding anything contained in prevailing law, when calling for applications for purchase of shares from the general public, an insurer shall demand one hundred percent of the face value of the shares.

46. Shares Not to be Sold, Pledged, or Transferred:–

(1) A founder of an insurer shall not sell, pledge, or transfer in any manner the founder's shares until five years have elapsed since establishment of the insurance company.

Provided that if any person held shares in excess of the number mentioned in this Act prior to the commencement of this Act, he/she shall sell and distribute such excess shares within two years of the commencement of this Act.

(2) Notwithstanding anything contained in sub-section (1), where any obstruction arises in the operation of an insurer creating a special situation, or where a founder is blacklisted under prevailing law, shares may be bought and sold among the founders with the approval of the Authority.

Explanation: For the purpose of this sub-section, "special situation" means a situation where the Board of Directors has been unable to hold a meeting for three consecutive times for lack of quorum, or where it has been unable to reach any decision due to mutual disputes among directors.

(3) Conditions and restrictions relating to pledging or sale/distribution of shares held in the name of a founder of an insurer after completion of five years shall be as determined by the Authority.

(4) The Chief Executive Officer, auditor, employee, company secretary, or any person directly involved in the management or accounting work of an insurer shall not, during his/her tenure or for one year from the date of retirement from such office, purchase or sell, cause to be purchased or sold, pledge, cause to be pledged, accept as gift, transfer, or otherwise deal in shares of the concerned insurer or its subsidiary company in his/her own name or in the name of a member of his/her joint family or any other person having financial interest, or a firm, company, or organization controlled by such persons.

Provided that this sub-section shall not be deemed to obstruct the purchase, sale, or transfer of shares in the case of bonus shares, rights shares, shares allotted for employees, or new share issues, when one insurer acquires another insurer under

Chapter 14, when insurers merge or amalgamate with each other, when insurance business is transferred, or when implementing a directive of the Authority.

(5) Purchase, sale, and other arrangements relating to shares of an insurer shall be as per prevailing law.

Chapter-6
Board of Directors and Chief Executive Officer

47. Constitution of the Board of Directors:–

(1) Notwithstanding anything contained in prevailing law, the Board of Directors of an insurer shall consist of at least five and at most seven directors, including one independent director.

(2) Directors under sub-section (1) shall be appointed by the general meeting of the insurer.

Provided that:

(a) until the insurer's first annual general meeting, directors shall be appointed by the founders.

(b) if the office of any director, other than a director representing an institutional shareholder or an alternate director, falls vacant before the annual general meeting is held, the Board of Directors of the insurer may appoint a director for the period until the next general meeting.

(c) in the case of an insurer in which the Government of Nepal, a Provincial Government, any insurer, any organized institution, company, or foreign insurer has taken shares, the Government of Nepal, Provincial Government, or such organization may appoint a director in proportion to the number of shares held by it, and when appointing such a director, an alternate director capable of working in the absence of the director shall also be appointed.

(3) More than one member of a joint family shall not be entitled to be directors of the same insurer or of insurers conducting the same type of business.

(4) The Board of Directors shall appoint at least one independent director from among persons having the qualification and experience under Section 49, and shall inform the first general meeting held after such appointment.

(5) The person chosen by a majority of the directors from among themselves shall be the Chairperson of the Board of Directors.

Provided that an independent director shall not be entitled to become the Chairperson of the Board of Directors.

(6) A person to be appointed as Chairperson of the Board of Directors shall, before the Chairperson of the Authority, and a person to be appointed as a member of the Board of

Directors shall, before the Chairperson of the Board of Directors, take an oath of office and secrecy in the format prescribed in the Schedule before assuming office as director.

(7) Where the office of a director falls vacant for any reason, the Board of Directors shall, within thirty-five days, appoint a director to such vacant office for the period until the next general meeting.

48. Term of Office of Director:–

The term of office of a director shall be a maximum of four years, and he/she may be reappointed or renominated.

Provided that an independent director may be appointed for only one term.

49. Qualification of Director:–

(1) The following persons shall be eligible for appointment as directors of an insurer:-

(a) a person who has worked for at least five years as a director or officeholder of a foreign or domestic insurer, bank or financial institution, or organized institution of the related sector, or in government service or at officer level of an organized institution,

(b) a person who holds a Bachelor's degree in any subject and has worked for at least three years as a director or officeholder of a foreign or domestic insurance, bank or financial institution, or organized institution of the related sector, or in government service or at officer level of an organized institution,

(c) a person who has completed chartered accountancy, or who holds a Master's degree in insurance, monetary, banking, finance, commerce, management, public administration, statistics, mathematics, economics, or commercial law.

(2) Notwithstanding anything contained in sub-section (1), a person who holds a Master's degree or equivalent in insurance, monetary, banking, finance, commerce, management, public administration, statistics, mathematics, economics, or commercial law, and has at least five years of experience as a director or at management level of a domestic or foreign insurer or organized institution of the related sector, shall be eligible for appointment as an independent director of an insurer.

Provided that a director of the insurer, a member of a director's joint family, an auditor, a consultant, a basic shareholder of the insurer, or a person having financial interest with the insurer shall not be eligible to become an independent director.

50. Disqualification of Director:–

Any of the following persons shall be disqualified for election or nomination to the office of director:-

(a) a person who has not completed 25 years of age,

(b) a person who has become incapable of serving as director due to physical or mental illness,

(c) a person declared insolvent under prevailing law,

(d) a person who has not completed three years since release from blacklisting under prevailing law,

(e) a serving director or employee of an insurer, bank and financial institution, or any organized institution collecting deposits of any kind, or a serving director or employee holding basic shares in the founder group of another insurer,

(f) a serving auditor or consultant of the concerned insurer, or a person, organization, firm, or company that is a partner in any kind of contract or lease with the insurer or has personal interest,

(g) a person who has obtained membership of a securities market to act as a securities dealer, or a merchant banker,

(h) a person holding office as director of another insurer,

(i) a person disqualified to become director under the bye-laws of the concerned insurer due to shareholding,

(j) a person who has not taken the minimum shares required to become a director,

(k) a person holding public office, or a serving employee of the Government of Nepal or an institution, authority, board, insurer, bank, or financial institution owned by the Government of Nepal,

Provided that this provision shall not be deemed to obstruct the nomination as director of a person representing the Government of Nepal, a Provincial Government, or an institution owned by the Government of Nepal, or an insurer, in a different type of insurer in which it has purchased shares,

(l) a person who has not paid taxes payable under prevailing law,

(m) a person who has not completed five years since serving a sentence, having been convicted by a court in Nepal or a foreign country, of any criminal offence involving moral turpitude such as theft, cheating, fraud, forgery, corruption, or an offence relating to insurance, banking, or money laundering,

(n) a person against whom a regulatory body under prevailing law has taken action for having acted contrary to law, where five years have not elapsed since such action,

(o) a person who has yet to serve imprisonment or pay a fine imposed by a court judgment, or who has outstanding government dues,

(p) a person against whom the Authority has taken action for non-compliance with its directives, where three years have not elapsed since such action.

51. Circumstances in which a Director Ceases to Hold Office:–

(1) No person shall continue to hold the office of director of an insurer in any of the following circumstances:-

(a) where he/she becomes disqualified to remain a director under Section 50,

(b) where a majority of at least fifty-one percent of the shareholders of the group from which he/she was representing on the Board of Directors pass a resolution at the general meeting to remove him/her from the office of director,

Explanation: For the purpose of this Section, "group" means the group of founders and general public shareholders.

(c) where his/her resignation from office is accepted,

(d) where the Authority directs his/her removal on the ground that he/she is disqualified to continue serving as director of the insurer, having acted contrary to the interests of the insurer or the insured.

(2) Where an insurer considers that any of its directors is disqualified to continue holding office because he/she has acted contrary to this Act, the Rules framed under this Act, or a directive of the Authority, or where any director does not continue to hold office, the insurer shall give written notice thereof to the Authority within fifteen days.

(3) Where it is brought to notice under sub-section (2) that a director is disqualified to continue holding office, the Authority may, after necessary inquiry, direct the insurer to remove such director from office.

52. Meetings of the Board of Directors:–

(1) A meeting of the Board of Directors shall be held at least six times a year.

Provided that the interval between two meetings shall not exceed two months.

(2) Where at least one-fourth of the directors make a written request, the Chairperson of the Board of Directors shall call a meeting of the Board of Directors at any time.

(3) A meeting of the Board of Directors shall be held at the place, date, and time fixed by the Chairperson.

(4) The Chairperson shall preside over meetings of the Board of Directors, and in his/her absence, the senior-most director shall preside.

(5) A meeting of the Board of Directors shall not be held without the presence of at least fifty-one percent of the total number of directors.

(6) The decision of the majority shall prevail at a meeting of the Board of Directors, and in the event of a tie, the member presiding over the meeting shall cast the deciding vote.

(7) The names of directors present at a meeting of the Board of Directors, the matters discussed, and the decisions (minutes) of the meeting shall be recorded in a separate book, and all directors present at the meeting shall sign such decision.

Provided that if any director wishes to record a dissenting opinion on a decision of the Board of Directors, he/she may sign and record such dissenting opinion.

(8) Where any matter in which a director has an interest is to be discussed at a meeting of the Board of Directors or any sub-committee, he/she shall inform the meeting of that fact and shall not take part in such meeting.

(9) The Board of Directors may obtain necessary opinion and advice from experts on the subject matter fixed for discussion at the meeting.

(10) A director shall receive meeting allowance and other facilities, for attending meetings, as determined by the general meeting, subject to directives issued by the Authority.

53. Functions, Duties and Powers of the Board of Directors:–

(1) Except for the functions to be performed by the general meeting of the insurer, all the functions, duties and powers of the insurer shall be vested in the Board of Directors of the insurer, subject to this Act, the Rules or Regulations framed under this Act, the directives and orders issued, the memorandum of association, the articles of association and other prevailing law.

(2) It shall be the duty of the Board of Directors to conduct insurance business in the interest of the insured and the general public shareholders by managing the overall risk of the insurer, to maintain corporate governance, and to guarantee that it does not interfere in day-to-day operations.

(3) The other functions, duties and powers of the Board of Directors shall be as follows:-

(a) to frame and implement necessary regulations, guidelines and procedures, subject to this Act, the Rules, Regulations, directives and orders under this Act, the memorandum of association, the articles of association and prevailing law,

(b) to formulate and implement, or cause to be implemented, policies and plans on underwriting, management, payment of insurance claims, management of assets and liabilities, budget, planning and other necessary matters of the insurer,

(c) to approve and implement, or cause to be implemented, necessary policies and standards relating to the conduct of insurance business in accordance with the directives of the Authority,

(d) to cause the paid-up capital, insurance fund and other movable and immovable property of the insurer to be maintained as determined by the Authority,

(e) to regularly monitor and analyse the policies adopted by the insurer and give necessary directions to the management,

(f) to submit the audit report, together with the annual report of the insurer, to the general meeting,

(g) to perform, or cause to be performed, such functions as specified by the Authority from time to time.

54. Power to Constitute Committee or Sub-Committee:–

(1) Except where this Act clearly specifies that a body or officeholder shall perform a task, the Board of Directors may, for any specific purpose, subject to the directives of the Authority, constitute other committees or sub-committees as necessary.

(2) The functions, duties, and powers, and the meeting procedures, of a committee or sub-committee constituted under sub-section (1) shall be as determined by the Board of Directors.

55. Delegation of Authority:–

The Board of Directors may delegate some of the powers vested in it under this Act or the Rules framed under this Act, and the memorandum and articles of association of the insurer, to any director, a committee or sub-committee under Section 54, the Chief Executive Officer, or a person acting as chief executive officer of the insurer.

Provided that managerial authority shall not be delegated to a director.

56. Management of Insurer:–

(1) An insurer shall appoint the necessary employees to conduct insurance business.

(2) Notwithstanding anything contained in sub-section (1), a person having a financial interest with the insurer shall not be eligible for appointment as an employee.

(3) While conducting insurance business, an insurer shall incur management expenses in a manner that does not adversely affect the interests of the insured.

(4) The limit on management expenditure under sub-section (3) and other arrangements shall be as determined by the Authority.

57. Appointment of Chief Executive Officer:–

(1) The Board of Directors shall, subject to this Act, the Rules framed under this Act, and the memorandum and articles of association of the insurer, appoint one Chief Executive Officer for the operation and management of the insurer's business.

(2) The term of office of the Chief Executive Officer shall be a maximum of four years, and he/she may be reappointed for one further term.

(3) Notwithstanding anything contained in sub-section (2), the Board of Directors may remove the Chief Executive Officer from office at any time if his/her performance is unsatisfactory.

Provided that a reasonable opportunity to submit a clarification shall be given to him/her before such removal.

(4) When appointing a Chief Executive Officer, the Board of Directors shall appoint a person having the following qualifications and experience, and shall inform the Authority within seven days of such appointment:-

(a) holds at least a Master's degree or equivalent in insurance, monetary, banking, finance, commerce, management, public administration, statistics, mathematics, economics or law, and has experience at management level of five years if in the insurance sector, eight years if in the banking or financial sector, or, if in both sectors, at least seven years including at least one year in insurance, or,

(b) has completed chartered accountancy, or holds at least a Bachelor's degree or equivalent in insurance, monetary, banking, finance, commerce, management, public administration, statistics, mathematics, economics, engineering or law, and has experience at least at management level of at least ten years if in the insurance sector, fifteen years if in the banking and financial sector, or, if in both sectors, at least twelve years including at least one year in the insurance sector.

(5) The following persons shall not be eligible for appointment as Chief Executive Officer of an insurer:-

(a) a person who has become incapable of serving as director due to physical or mental illness,

(b) a person who is blacklisted under prevailing law, or who has not completed three years since release from blacklisting,

(c) a person working as a director, close relative of a director, or employee, insurance intermediary, or consultant of the insurer,

(d) a person who has, within the preceding three years, worked as an auditor of the same insurer,

(e) a person working as a securities dealer or a member of the securities market,

(f) a person having financial interest with the insurer,

(g) a person who has already been Chairperson or Chairperson of the Board of Directors

Provided that this provision shall not be deemed to obstruct the Government of Nepal from appointing such a person as Chairperson or director of an insurer,

(h) a person who has held office as Chief Executive Officer, where six months have not elapsed since he/she ceased to hold such office,

(i) a person who has not completed three years since serving a sentence of imprisonment imposed under prevailing law,

(j) a person who has obtained permanent residency of a foreign country

Provided that this provision shall not apply to the Chief Executive Officer of a foreign insurer or an insurer established with joint venture investment,

(k) a person convicted by a court of a criminal offence such as fraud, forgery, corruption, money laundering, human trafficking, banking offence, insurance and other cheating, hostage-taking, or abduction,

(l) a person holding public office.

(6) Notwithstanding anything else contained in this Section, an insurer in which a foreign insurer holds a majority of shares, or a foreign insurance company, may appoint its own employee as Chief Executive Officer, subject to this Section.

(7) A branch office of a foreign insurer located in Nepal shall appoint a Chief Executive Officer on the basis of the qualification and experience under this Section.

(8) The remuneration, other terms of service, and facilities of the Chief Executive Officer shall be as determined by the Board of Directors, subject to directives issued by the Authority from time to time, and his/her terms of service and facilities shall be fixed at the time of his/her appointment.

58. Functions, Duties and Powers of Chief Executive Officer:–

(1) It shall be the duty of the Chief Executive Officer to carry out the day-to-day, business, and administrative work of the insurer in accordance with policies approved by the Board of Directors, directives given by the Authority, and prevailing law.

(2) Subject to authority delegated by the Board of Directors, the functions, duties, and powers of the Chief Executive Officer of an insurer shall be as follows:-

(a) subject to the memorandum and articles of association, to exercise authority delegated by the Board of Directors, implement decisions of the Board of Directors, and oversee and control the insurer's operations and transactions,

(b) to prepare the insurer's annual budget and work plan and submit it to the Board of Directors for approval,

(c) subject to the employee bye-laws of the insurer, to manage the necessary manpower,

(d) to implement or cause to be implemented decisions made by the general meeting and the Board of Directors,

(e) to operate the institution in accordance with this Act or directives of the Authority, and to maintain effective internal control and risk management of the institution,

(f) subject to this Act, the Rules and Regulations framed under this Act, directives or orders, and the memorandum and articles of association, to submit in a timely manner the reports, details, documents, and decisions that the insurer must submit to the Authority or other bodies.

(3) The Chief Executive Officer shall be accountable to the Board of Directors for his/her work.

59. Management or Technical Service Agreement:–

(1) An insurer may, with the prior approval of the Authority, enter into a management or technical service agreement with a domestic person or a foreign organized institution.

(2) Before concluding an agreement under sub-section (1), the draft of such agreement shall be submitted to the Authority for approval.

(3) Other matters relating to management or technical service agreements or expert services shall be as prescribed.

60. Whistle-Blowing Policy May be Formulated:–

(1) An insurer may formulate and implement a whistle-blowing policy for confidentially reporting irregular acts committed or likely to be committed by the management, officeholders, or employees of the insurer, in relation to compliance with this Act, the Rules and Regulations framed under this Act, and directives issued thereunder.

(2) It shall be the duty of the Board of Directors of the concerned insurer to protect the professional security of a person who, under sub-section (1), confidentially reports irregular acts committed by the Chief Executive Officer, officeholders, auditor, consultant, employee, or insurance intermediary of the insurer.

Chapter-7
Conduct of Insurance Business

61. Type of Insurance Business:–

(1) The types of insurance business shall be as follows:-

(a) life insurance business,

(b) non-life insurance business, and

(c) reinsurance business.

(2) An insurer conducting life insurance business may, subject to its licence, conduct the class (portfolio) of life insurance business as prescribed.

(3) An insurer conducting non-life insurance business may, subject to its licence, conduct the class (portfolio) of non-life insurance business as prescribed.

(4) The type of business to be conducted by an insurer carrying on reinsurance business shall be as determined by the Authority.

62. Insurance Contract:–

(1) An insurance contract shall be in writing.

(2) The proposal made by the insured for insurance, the policy, its schedule, and confirmations issued in that regard shall be deemed to be integral parts of the insurance contract.

(3) When entering into an insurance contract, the insurer and the insured shall clearly disclose to each other, in good faith, factual information relating to the proposed risk.

(4) The subject matter of insurance shall have an insurable interest of the proposer for insurance.

(5) Other matters relating to insurance contracts shall be as prescribed.

63. Policy:–

(1) An insurer shall issue a policy as approved by the Authority.

(2) Once a policy is issued, the matters mentioned in the policy shall be deemed to constitute an insurance contract between the insurer and the insured, and the terms of such contract shall be binding on both parties.

(3) The insurer shall not be entitled to raise any question, after one year from the date of issuance of the policy, regarding any matter not disclosed by the insured when proposing for insurance.

(4) Notwithstanding anything contained in sub-section (3), where it is confirmed, after issuance of the policy, that the insured has, in bad faith, concealed material facts relating to risk or provided false information, the insurer may, at any time, direct the insured to correct such information, or may withhold any facility that the insured would otherwise receive.

(5) The insured may transfer the title of a life insurance policy to another person, as prescribed.

(6) Other matters relating to policies shall be as determined by the Authority.

64. Premium:–

(1) An insurer shall calculate the premium on the basis of the insurance rate determined by the Authority.

(2) An insurer shall not issue a policy without collecting the full premium.

(3) Notwithstanding anything contained in sub-section (2), where, for any reason, a lump-sum amount has not yet been paid, and a policy is issued on the guarantee of a bank or of the Government of Nepal specifying the payment period, the premium shall be deemed to have been received.

Provided that a policy shall not be issued on a bank guarantee for a period longer than thirty days.

(4) Notwithstanding anything else contained in this Section, this shall not obstruct the issuance of a policy in the case of life insurance on an instalment basis, or, for a specified type of non-life insurance, on receipt of partial payment.

(5) Where premiums collected by a person or organization entrusted with collecting and remitting premium to the insurer are not received by the insurer in time, the insurer shall inform the insured of that fact.

(6) Other matters relating to insurance rates and premiums shall be as determined by the Authority.

65. Collective Insurance Fund:–

The Authority may cause an insurer to establish, or itself establish, a collective insurance fund (insurance pool) to bear liability for a particular risk group under insurance business.

66. Insurance Not to be Effected:–

(1) Notwithstanding anything else contained in this Act, an insurer shall not insure any property or liability of the following persons or organizations:-

(a) a liability to be borne by the insurer itself,

(b) that of the insurer's own basic shareholder, director, consultant, auditor, employee, or a member of his/her joint family,

(c) that of a basic shareholder or a member of his/her joint family,

(d) that of a firm, company, or organization having the authority to nominate or appoint its director,

(e) that of any firm, company, or organization in which a director of the insurer has a financial interest, or of which he/she is a managing agent, partner, or director, or of a basic shareholder or a member of his/her joint family.

Provided that this sub-section shall not obstruct an insurer conducting life insurance business, within the actuarial conditions and limits determined by the Authority, from insuring the persons mentioned in this sub-section.

(2) Notwithstanding anything else contained in this Section, the provision under sub-section (1) shall not apply to insuring property or liability owned by the Government of Nepal.

67. Not to Conduct Business or Combine Property in Partnership:–

(1) An insurer shall not conduct any business in partnership with, or combine property with, its director, a member of a director's joint family, a basic shareholder, a person having financial interest, any firm, company, or organization of which an insurer or its director is a managing agent or partner, or the Chief Executive Officer.

(2) Where, prior to the commencement of this Act, an insurer has conducted any business in partnership with, or has combined property with, its director, a member of a director's

joint family, a basic shareholder, a person having financial interest, any firm, company, or organization of which an insurer or its director is a managing agent or partner, or the Chief Executive Officer, it shall separate its business or property from such business or property within six months of the commencement of this Act.

68. Property Not to be Used:–

(1) Other than facilities or benefits received in the capacity of director, Chief Executive Officer, shareholder, employee, or insurance intermediary of the company under prevailing law, the property of an insurer shall not be used in any manner by the insurer's director, a member of a director's joint family, a basic shareholder, a person having financial interest, any firm, company, or organization of which an insurer or its director is a managing agent or partner, or the Chief Executive Officer.

(2) An insurer shall not rent or otherwise use the property of its director, a member of a director's joint family, a basic shareholder, or any firm, company, or organization of which an insurer or its director is a managing agent or partner, or the Chief Executive Officer.

69. Acts Not to be Done by Insurer:–

(1) An insurer shall not do or cause to be done any of the following acts:-

(a) purchasing or selling movable or immovable property exceeding the limit determined by the Authority,

(b) giving a loan to, or providing any kind of guarantee or security for, a basic shareholder, its director or a member of a director's joint family, or any firm, company or organization of which the insurer or a basic shareholder is a managing agent or partner,

(c) giving any kind of loan other than a loan given to the insured against the security of a life insurance policy

Provided that this provision shall not be deemed to obstruct an insurer from giving advances or loans to its employees as provided in the employee service bye-laws,

(d) issuing a policy in any format other than that approved by the Authority,

(e) issuing any policy other than a policy approved by the Authority,

(f) calculating premium in a manner contrary to the insurance rate determined by the Authority,

(g) investing in shares or securities of an insurer or insurance broker carrying on the same type of insurance business

Provided that this provision shall not be deemed to obstruct an insurer carrying on one type of insurance business, with the prior approval of the Authority, from purchasing securities of an insurer carrying on another type of insurance business,

(h) making any kind of investment in any company, firm, or organized institution in which a member of the Board of Directors is a director, or in which such member has a personal, financial, or business interest,

(i) establishing any kind of monopoly in insurance business, or engaging in any act of a nature that controls insurance business in any other manner,

(j) creating any kind of obstruction to the competitive environment of the insurance sector, or doing or causing to be done any act that establishes restrictive practice,

(k) doing or causing to be done any act contrary to this Act or the Rules, Regulations, or directives issued under this Act.

(2) An insurer shall not, upon coming to know or suspect that any person insuring is one who has earned money illegally or committed an offence relating to money laundering, conceal that fact, or conceal, alter, or make payment on such insurance, or conceal or falsify information relating to its origin or source, or provide any kind of assistance for the purpose of protecting such person from legal action.

(3) Where the insurer comes to know or receives information that any person has done, or assisted in doing, an act under sub-section (2), or where it suspects, or has reasonable grounds to suspect, that such an act has been committed, the insurer shall immediately [2]..... provide information thereof to the Financial Information Unit established under prevailing law.

70. [3]Actuarial Valuation to be Conducted:–

(1) An insurer conducting insurance business shall have its financial position, assets, liabilities, and financial condition valued by an actuary appointed with the approval of the Authority.

(2) The concerned insurer shall submit a copy of the valuation report given by the actuary under sub-section (1) to the Authority.

(3) Other matters relating to actuarial valuation shall be as prescribed.

71. Allocation of Savings:–

(1) In the case of a life insurance policy ensuring participation in profits, the insurer shall, on the basis of the valuation report of the actuary, allocate and make provision for savings from the life insurance business.

(2) For the purpose of allocating and provisioning the savings pursuant to sub-section (1), the insurer shall, with the approval of the Authority, transfer at least ninety percent of savings to the Life Insurance Fund.

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[2]Omitted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

[3]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

(3) Other provisions relating to apportionment and provisioning savings from the life insurance business shall be as prescribed.

72. Risk to be Accepted on the Basis of Net Worth:–

(1) An insurer shall accept risk on the basis of its net worth.

(2) Other matters relating to risks accepted by an insurer shall be as prescribed.

73. Investment in Subsidiary Company:–

(1) An insurer may, with the approval of the Authority, establish its own subsidiary company or invest in such a company.

(2) When granting approval to establish or invest in a subsidiary company under sub-section (1), the Authority may specify necessary conditions, and it shall be the duty of the concerned insurer to comply with such conditions.

(3) Notwithstanding anything else contained in this Section, an insurer shall not be entitled to establish, or invest in, a subsidiary company that carries on the same type of insurance business as it itself conducts.

(4) Other matters relating to investments made by an insurer shall be as determined by the Authority from time to time.

74. Approval to be Obtained when Disposing of Property:–

(1) When a foreign insurance company disposes of or mortgages immovable property situated in Nepal, or movable property exceeding the prescribed limit, or repatriates it to a foreign country, it shall, in addition to obtaining approval from the body required under prevailing law, also obtain the approval of the Authority.

(2) When granting approval under sub-section (1), the Authority may specify necessary conditions or standards.

Chapter-8
Micro-Insurance Business

75. Micro-Insurance to be Conducted:–

Every insurer shall conduct micro-insurance business targeting the low-income class and disadvantaged areas.

76. Insurance Company May be Opened for the Sole Purpose of Micro-Insurance:–

(1) Notwithstanding anything else contained in this Act, an insurance company may be established with the objective of conducting only micro-life insurance or micro-non-life insurance business.

(2) The capital of an insurer to be established for the purpose mentioned in sub-section (1) shall be as prescribed.

(3) Matters relating to establishment and licensing of an insurer established under sub-section (1) shall be as per this Act.

77. Agreement to be Made:–

(1) Before appointing an insurance agent to carry out micro-insurance work, an insurer shall enter into a written agreement with such insurance agent.

(2) When entering into an agreement with an agent carrying out micro-insurance work, if such agent is an organized institution established under prevailing law, the insurer may entrust prescribed authority to such agent.

78. Micro-Insurance Claims:–

(1) Where an insurer conducting micro-insurance business receives a claim, duly submitted by the concerned person, relating to the insured life, property, or liability as mentioned in the policy, it shall settle such claim within twenty-one days.

(2) Other matters relating to micro-insurance claims shall be as prescribed.

79. Micro-Insurance Regulatory Fee:–

To receive micro-insurance regulatory services, every insurer shall pay to the Authority, as a regulatory fee, an amount at the rate of zero point five percent of the total premium earned by it annually.

Chapter-9
Reinsurance Business

80. Reinsurance to be Effected:–

An insurer shall effect reinsurance so as to cover the risk of the liability remaining after bearing the risk it itself retains.

81. Reinsurance Business:–

(1) Notwithstanding anything else contained in this Act, in relation to an insurer conducting reinsurance business, the following shall apply:-

(a) an insurer conducting reinsurance business may accept reinsurance of both life and non-life insurance business.

(b) an insurer conducting reinsurance business may accept reinsurance from, or cede reinsurance to, a foreign insurance company or reinsurance company.

(c) an insurer operating domestically shall compulsorily reinsure with a reinsurer established within the country, at not less than the percentage determined by the Authority.

(2) An insurer conducting reinsurance business may conduct such business itself or through an insurance broker.

(3) Other matters relating to reinsurance business shall be as prescribed.

82. Provisions Relating to Reinsurance Contract:–

(1) When conducting reinsurance business, an insurer shall have the format of the reinsurance contract approved by the Authority.

(2) Where the reinsurance contract between an insurer and a reinsurer does not protect the interests of the insured, or where it does not appear that the risk of liability would be adequately covered by such contract, the Authority may, at any time, direct that the terms of such reinsurance contract be reviewed.

(3) Other matters relating to reinsurance contracts shall be as prescribed.

Chapter-10
Accounts and Audit of Insurer

83. Accounts to be Properly Maintained:–

(1) An insurer shall maintain its books of account, ledgers, records, and accounting records accurately and correctly.

(2) When maintaining accounting records under sub-section (1), the insurer shall keep records of its assets, liabilities, income, and expenditure under prevailing law, in accordance with accepted accounting principles based on the double-entry accounting system, so that the true position of its transactions is clearly reflected.

(3) The accounts and other details kept under sub-section (1) shall be maintained by the insurer at its head office, unless the Authority has approved otherwise.

(4) Other matters relating to the accounts and books of account of an insurer shall be as prescribed.

84. Financial Statements to be Prepared:–

(1) An insurer shall submit to the Authority, within thirty days of the end of each quarter, a quarterly financial statement including its income-expenditure account, net worth and changes therein, insurance, reinsurance, claims, and investment.

(2) An insurer shall prepare an audited balance sheet and profit and loss statement for each fiscal year and submit it to the Authority in the prescribed format within six months of the following fiscal year.

(3) An insurer shall publicly disclose details of its financial position and risk status every three months.

(4) Other matters relating to the financial statements of an insurer shall be as prescribed.

85. Audit Committee of Insurer:–

(1) After the commencement of this Act, a licensed insurer shall, within thirty days of commencing insurance business, and an insurer that has not constituted an audit committee at the time this Act commences shall, within thirty days of the commencement

of this Act, constitute a three-member audit committee, coordinated by a director representing the general public shareholders, and inform the Authority thereof.

(2) The Chairperson, Chief Executive Officer, chief of accounts, or close relative of an insurer shall not be entitled to become a member of the committee under sub-section (1).

(3) The functions, duties, and powers of the audit committee shall be as follows:-

(a) to review the financial statements of the insurer and ascertain the basis, truthfulness, and accuracy of the information mentioned in such statements,

(b) to monitor and ascertain whether the accounts, budget, and internal control system of the insurer are appropriate,

(c) to inspect and monitor whether the procurement system of the insurer is appropriate and economical,

(d) to ascertain whether the ledgers of the insurer and the documents or electronic records of the internal audit system are properly kept,

(e) to ascertain whether work relating to underwriting, insurance claims, investment, and reinsurance has been properly carried out, and whether records relating thereto have been properly kept,

(f) to ascertain whether the accounts, audit, balance sheet, or financial statements of the insurer conform to directives issued by the Authority under this Act or the Regulations framed under this Act, or the bye-laws of the insurer,

(g) to recommend the names of three auditors for appointment as the auditor of the insurer,

(h) to provide opinion and advice on matters requested by the Board of Directors of the insurer,

(i) to ascertain whether the insurer has complied with directives given by the Authority.

(4) The audit committee shall submit a report of its functions to the Board of Directors of the insurer.

86. Appointment of Auditor of Insurer:–

(1) An insurer shall appoint an auditor under prevailing law.

(2) Notwithstanding anything contained in sub-section (1), an insurer shall not be entitled to appoint the following persons as auditor:-

(a) a basic shareholder, director, or close relative of a director of the insurer,

(b) the Chief Executive Officer of the insurer, or his/her close relative,

(c) an intermediary or employee of the insurer, or a member of his/her joint family,

(d) an employee who has been separated from the service of the insurer, where three years have not elapsed since such separation,

(e) a partner of a director, Chief Executive Officer, or employee of the insurer,

(f) a person having financial interest with the insurer, or a member of his/her joint family,

(g) an insured who has taken out insurance exceeding the prescribed limit from the concerned insurer,

(h) a person who has been appointed as auditor of the same insurer for three consecutive fiscal years,

(i) a member of the Board of Directors, a serving employee of the Authority, or a member of his/her joint family or partner,

(j) a person disqualified under prevailing law to be appointed or to continue as an auditor.

87. Audit of Insurer:–

(1) An insurer shall have its audit conducted under prevailing law within three months of the end of the fiscal year.

(2) Where an insurer is unable to have its audit conducted within the period under sub-section (1) and requests an extension of time stating reasonable grounds, the Authority may extend the period by up to two months.

(3) Where any observation or irregularity is found during the audit, the audit report shall state that fact together with whether or not a response has been received from the management of the insurer in that regard.

(4) Notwithstanding anything else contained in this Section, the Authority may specify a separate format of a detailed audit report (long-form audit report) for preparing the audit report of an insurer, and where such format is specified, the auditor shall prepare the audit report in such format and submit it to the Authority.

(5) An insurer shall submit its financial statements to the Authority for approval within thirty days of completion of its audit.

(6) Where necessary to discuss the financial statements of an insurer, the Authority may summon the directors, Chief Executive Officer, employees, auditor, or any other concerned person or organization of the insurer, and it shall be the duty of such person to appear before the Authority when so summoned.

(7) An insurer shall not, without submitting the report to the Authority under sub-section (5), submit it to any body other than the government bodies to which it is required to be submitted under prevailing law, publish it, or call the general meeting of the insurer.

(8) An insurer shall publish and broadcast its audited financial statements each year at least twice through national-level media, and shall also make them public through its website.

(9) Notwithstanding anything contained in prevailing law, where an insurer is unable to have its audit conducted because it has not appointed an auditor, even after extension of the period under sub-section (2), the Authority may appoint an auditor for such insurer.

(10) The remuneration of an auditor appointed by the Authority under sub-section (9) and other expenses relating to the audit shall be borne by the concerned insurer.

(11) Matters to be disclosed by the auditor in the audit report and other matters relating to the audit of an insurer shall be as prescribed.

88. Power to Order Regarding Audit:–

(1) Notwithstanding anything contained in this Act or other prevailing law, upon receiving the auditor's report, the Authority may, if it considers necessary, order the auditor of the insurer to carry out the following additional work:-

(a) to submit additional information regarding the audit as considered necessary by the Authority,

(b) to conduct other inquiry as determined by the Authority, or as recommended to the insurer, on any specific matter.

(2) All expenses incurred in re-conducting an audit under sub-section (1) shall be borne by the concerned insurer.

89. Recommendation for Action:–

The Authority may recommend to the concerned regulatory body that an auditor who fails to discharge the duties under this Act be removed from the list of auditors for a period of one to three years, preventing him/her from auditing an insurer.

Chapter-11
Provisions relating to Insurance Intermediaries or Other Insurance Service Providers

90. Not to Work without Licence:–

No person shall, without obtaining a licence under this Act, work or cause to work as an insurance intermediary or other insurance service provider.

91. Licence of Insurance Intermediary:–

(1) A person or organization wishing to work as an insurance intermediary or other insurance service provider shall submit an application to the Authority together with the prescribed documents and fees for a licence.

(2) Upon examining an application received under sub-section (1), if it appears appropriate to grant a licence, the Authority shall grant a licence in the prescribed format to work as an insurance intermediary, as prescribed.

(3) The term of a licence of an insurance intermediary and other insurance service provider shall be three years.

(4) When granting a licence to an insurance surveyor, the licence shall be granted to survey only one class (portfolio) of non-life insurance.

Provided that this provision shall not apply to a company established for the purpose of carrying on insurance surveying business.

(5) A person who has obtained a licence as an insurance surveyor at the time this Act commences shall, within one year of the commencement of this Act, fix a licence for one class (portfolio) of his/her choice in which he/she has expertise.

(6) An insurance intermediary or other insurance service provider shall not allow anyone else to use, transfer, or assign the licence obtained under this Act.

(7) When granting a licence to an insurance agent, a licence shall be granted to act as the insurance agent of only one insurer of the same type.

(8) Matters relating to licensing of an insurance intermediary or other insurance service provider shall be as prescribed.

92. Qualification of Insurance Intermediary or Other Insurance Service Provider:–

(1) The qualification of an insurance intermediary or other insurance service provider applying under Section 93 shall be as prescribed.

(2) An insurance intermediary shall have passed the prescribed examination before obtaining a licence.

(3) Only an organized institution registered under prevailing law and having the following qualifications shall be licensed to act as an insurance broker or third-party facilitator:-

(a) has authorized capital as prescribed by the Authority,

(b) the person acting as manager of the organized institution has four years of experience in insurance work,

(c) fulfils other conditions specified by the Authority.

(4) Other matters relating to insurance intermediaries or other insurance providers shall be as prescribed.

93. Liability of Insurance Intermediary:–

(1) An insurance intermediary or other insurance service provider shall keep a clearly visible photocopy of its licence in its office.

Provided that an insurance agent or insurance surveyor who has not established an office shall show his/her licence when requested by the concerned person while carrying out insurance work.

(2) An insurance intermediary or other insurance service provider shall comply with the code of conduct issued by the Authority.

(3) An insurance surveyor shall not evaluate or survey damage or loss of any person or organization in which his/her close relative or a member of his/her joint family has a financial interest, or of a close relative of such person.

(4) An insurance surveyor shall submit the survey report to the concerned insurer within the prescribed period.

(5) An insurance surveyor shall engage only persons who have obtained a licence as insurance surveyor in survey work.

(6) An insurance agent of one insurer shall not, during the same period, work as an insurance agent of another insurer of the same type.

Provided that this provision shall not be deemed to obstruct an insurance agent of an insurer conducting life insurance business from working as an insurance agent of an insurer conducting non-life insurance business, and vice versa.

(7) Notwithstanding anything contained in sub-section (6), an insurance agent carrying out micro-insurance work may work as a micro-insurance agent of more than one insurer.

(8) An insurance broker or third-party facilitator shall not make any kind of investment in, or give loans to, or provide any kind of guarantee or security to, any organized institution in which a member of its Board of Directors is a director or has financial interest.

(9) The work to be performed, remuneration or commission, official conduct, and other arrangements of an insurance intermediary or other insurance service provider shall be as prescribed.

94. Provisions Relating to Renewal of Licence:–

(1) Where an insurance intermediary or other insurance service provider wishes to renew its licence, it shall submit an application to the Authority, together with the prescribed fee and other details, before expiry of the licence period.

(2) Where an insurance intermediary, stating the reason it was unable to apply for renewal within the period under sub-section (1), applies for extension of time, the Authority may, upon necessary inquiry, if the matter appears reasonable, extend the period by up to three months.

(3) Where an application for renewal is received within the period under sub-section (1) or (2), and upon necessary inquiry it appears appropriate to renew, the licence shall be renewed for three years.

(4) Where, for any reason, a licence cannot be renewed, the Authority shall give written notice, stating the reasons, to the concerned insurance intermediary or other insurance service provider.

(5) Other matters relating to renewal of licence of an insurance intermediary or other insurance service provider shall be as prescribed.

95. Cancellation of Licence:–

(1) Where an insurance intermediary or other insurance service provider fails to apply for renewal of licence within the period under Section 94, its licence shall automatically be cancelled from the date of expiry of the licence period.

(2) Where an insurance intermediary or other insurance service provider submits a written application to the Authority to cancel its licence, the Authority may, upon inquiry, cancel such licence as prescribed.

(3) Notwithstanding anything contained in this Act, the Authority may cancel the licence of an insurance intermediary or other insurance service provider in the following circumstances:-

(a) where it does any act contrary to this Act, the Rules, Regulations, or guidelines framed under this Act, or directives given by the Authority, or

(b) where it is proved to have acted against the interests of the insured.

(4) Before cancelling a licence under sub-section (3), the Authority shall give the concerned insurance intermediary or other insurance service provider a reasonable opportunity to submit a clarification.

96. Non-Renewal:–

Notwithstanding anything else contained in this Act, the licence of an insurance intermediary or other insurance service provider shall not be renewed where it is found disqualified to continue acting in such capacity due to non-compliance with the liability under Section 93, or where it is proved that serious harm has been caused to the insured.

97. Not to be Engaged:–

(1) No one shall engage an organization that has not obtained a licence, or has not renewed its licence, under this Act as an insurance intermediary or other insurance service provider.

(2) If any insurer engages an insurance intermediary or other insurance service provider contrary to sub-section (1), all liabilities and consequences arising therefrom shall be borne by the insurer itself.

(3) Any liability arising from any work relating to insurance business carried out, during the term of its licence, by an insurance intermediary or other insurance service provider whose licence has been cancelled shall be borne by the concerned insurer.

(4) An insurance intermediary shall not be entitled to act as a director, chief executive officer, employee or consultant of any insurer.

Chapter-12
Regulation, Inspection and Monitoring

98. Regulation, Inspection and Monitoring:–

(1) The Authority may, at any time, regulate, inspect, or monitor the operations of an insurer, insurance intermediary, other insurance service provider, or persons or organizations connected with such insurer, insurance intermediary, or other insurance service provider.

(2) Where the Authority has suspicion or receives a complaint, it may depute an expert or an employee of the Authority to conduct an on-site inspection at the office or place of business of the insurer, insurance intermediary, or other insurance service provider in relation to its operations, or may summon relevant documents, accounts and financial statements, policies, and related reports and details of the insurer to the Authority for inspection, or may otherwise regulate, inspect, or monitor at any time.

(3) For the purpose of sub-section (1), the Authority shall take as a basis the internationally established principles, standards, benchmarks, and best practices relating to regulation, inspection, or monitoring of insurance business.

(4) The expert or employee deputed under sub-section (2) may demand from the concerned party records, statistics, details, information, reports, electronically generated records, or any other necessary documents, view, examine, inspect, and investigate them, demand originals or copies thereof, or make inquiries in that regard.

(5) It shall be the duty of the concerned insurer, insurance intermediary, other insurance service provider, insured, and persons connected with insurance business to make available, within the specified time, the records, statistics, details, information, or other necessary documents demanded under sub-section (4), and to allow inspection and examination of any details, and to give true and factual answers to questions asked in that regard.

(6) Where the employee or expert deputed for regulation, inspection, or monitoring under this Section finds any error or weakness in the work, action, or documents performed by the insurer, or finds any work or document suspicious, or finds that it does not conform to this Act, the Rules framed under this Act, or directives issued by the Authority, he/she may record the statement of the concerned officer in that regard.

(7) Where, in the course of regulation, inspection, or monitoring under this Section, it appears that any direction or order must immediately be given, the expert or employee so deputed may, after informing the Authority, give the necessary direction, and it shall be the duty of the concerned insurer or stakeholder to comply with such direction.

(8) The expert or employee deputed for regulation, inspection, or monitoring under this Section shall submit the inspection or monitoring report to the Authority within the period fixed by the Authority.

(9) It shall be the duty of the Government of Nepal, any body of the Government of Nepal, any body of a Province or Local Level, other regulatory bodies, or organized institutions to provide cooperation where the Authority requests cooperation in relation to regulation, inspection, or monitoring work carried out or to be carried out under this Act.

(10) Other matters relating to regulation, inspection, or monitoring of insurance business shall be as determined by the Authority.

99. Foreign Insurance Company to Inform the Authority:–

(1) Where a foreign insurance company inspects or monitors its branch office opened in Nepal, it shall inform the Authority thereof in writing before doing so.

(2) After a foreign insurance company has inspected or monitored its branch office opened in Nepal under sub-section (1), it shall prepare a report and submit a copy thereof to the Authority.

100. Regulatory Fee:–

(1) In consideration of regulatory services provided by the Authority to insurers, every insurer receiving such regulatory services shall pay to the Authority, each year, an amount at the rate of zero point seven five percent of the total premium earned by it, as a regulatory fee.

(2) An insurance intermediary or other insurance service provider shall pay to the Authority the prescribed regulatory fee in consideration of regulatory services provided.

(3) The period, procedure, late fee, and other matters relating to payment of the regulatory fee under sub-sections (1) and (2) shall be as prescribed.

Chapter-13
Troubled Insurer

101. Circumstances Deemed as a Troubled Insurer:–

(1) Notwithstanding anything contained in prevailing law, the Authority may declare an insurer to be a troubled insurer, to protect the interests of the insured, where any of the following circumstances arises:-

(a) where the insurer is unable to maintain the minimum paid-up capital and capital fund required to be maintained,

(b) where the ratio of total assets to total liabilities (solvency margin) of the insurer is not maintained,

(c) where it is proved that the founder shareholder of the insurer established the insurance company through fraud, money laundering, corruption, financing of terrorist activities, or human trafficking,

(d) where it is proved that the insurance company was established or licensed through forgery, cheating, or by providing false details or preparing or submitting incorrect documents,

(e) where it repeatedly acts in a manner adverse to the interests of the insured, shareholders, creditors of the insurer, or the general public,

(f) where, having been directed by the Authority to merge the insurer with another insurer, such direction is not complied with,

(g) where this Act or the Rules or Regulations framed under this Act, prevailing law, conditions mentioned at the time of issuing the licence, or directives or orders issued by the Authority are repeatedly violated,

(h) where insurance fraud is committed by the insurer,

(i) where it is found, or is likely, from the report of regulation, inspection, monitoring, the auditor, or the actuary conducted by the Authority, that an insurer is unable to discharge its liabilities,

(j) where it discloses the circumstance under sub-section (3) of Section 105,

(k) where a dispute arises among the directors regarding the operation and management of the insurer such that the insurance business cannot be conducted smoothly,

(l) where the insurer fails to submit proof of improvement within the period specified in a direction given by the Authority when fully or partially suspending the insurance business being conducted by the insurer,

(m) where the insurer repeatedly fails to discharge liabilities it is required to discharge.

(2) Before declaring an insurer to be a troubled insurer under sub-section (1), the Authority shall give the concerned insurer fifteen days' notice to submit, with evidence, its clarification if there is any reason it should not be so declared.

(3) Where a clarification is not submitted within the period under sub-section (2), or where the clarification submitted does not appear satisfactory and credible, the Authority shall declare such insurer to be a troubled insurer and shall publish notice thereof through at least two national daily newspapers and the Authority's website.

(4) Where an insurer has become insolvent or is likely to become insolvent under prevailing law, and is unable to discharge the liability payable to the insured, and its net worth has decreased to half or less of its paid-up capital, such insurer shall immediately inform the Authority of that fact.

102. Measures for Improvement of a Troubled Insurer:–

(1) Where an insurer becomes troubled under Section 101, the Authority shall, notwithstanding anything contained in prevailing law, give any of the following orders, specifying a time period, for improvement of such insurer:-

(a) to increase capital, cause new shares to be issued, or cause payment of outstanding amounts of shares within the period fixed by the Authority,

(b) to suspend distribution of dividend payable to shareholders for a specified period, or, having so suspended, to cause issuance of bonus shares in lieu of dividend,

(c) to fix a limit, for a specified period, on payment of remuneration, facilities, or any other amount to directors and the Chief Executive Officer,

(d) to fix a new limit on the management expenses of the insurer,

(e) to sell any property of the insurer to discharge its liabilities,

(f) to suspend expansion of branches, or to cause merger or closure of any or all existing branches,

(g) to cause reduction of the paid-up capital of the insurer,

(h) to suspend, for a specified period, any or all classes of insurance business the insurer is entitled to conduct under this Act,

(i) to cause reduction in the number of directors, managers, or employees of the insurer within the prescribed period, or to cause reshuffling or reconstitution of the Board of Directors,

(j) to suspend the rights of shareholders of the insurer, or to prevent transfer of shares of such shareholders, or to cause other shareholders or the insurer itself to buy out the shares of such shareholders, or to cause them to be sold to another person or organization,

(k) where the insurer is registered as a listed company, to write to have the name of such insurer removed from the securities market to prevent any act against the interests of the general public,

(l) to carry out or cause to be carried out such other appropriate action as the Authority considers reasonable to make the insurer financially and managerially competent.

(2) Where the insurer does not reduce the number of directors, managers, or employees within the period under clause (i) of sub-section (1), the Authority may, notwithstanding anything contained in prevailing law, itself remove such directors, managers, or employees, as prescribed.

(3) Where the financial or managerial condition of an insurer does not improve within the time given by the Authority for adopting improvement measures under sub-section (1), the Authority shall give thirty days' notice to the concerned insurer to submit, with

evidence, its clarification if there is any reason such insurer should not be taken under control.

(4) Where the clarification submitted by the insurer within the time given under sub-section (3) appears reasonable, the Authority may grant a period of up to six months for the insurer to make the expected improvement.

(5) Where the insurer is unable to make the expected improvement even within the period under sub-section (4), the Authority shall constitute a Special Management Group under Section 103 and take control of the operation and management, either suspending the Board of Directors or otherwise.

103. Special Management Group:–

(1) The Authority may constitute a Special Management Group of three persons, from among persons fulfilling the prescribed qualifications, for the operation and management of an insurer taken under control under sub-section (5) of Section 102, and may proceed with the operation and management of such insurer through that Group.

(2) The term of the Special Management Group under sub-section (1) shall be one year, and the Authority may, on reasonable grounds, extend the term of such Group by up to one further year, or may dissolve such Group.

(3) Where the work of all or any member of the Special Management Group is not satisfactory, the Authority may remove him/her from office, as prescribed.

(4) Where a member of the Special Management Group is removed before completion of the assigned task, the Authority may appoint a person fulfilling the qualifications under sub-section (1) for the remaining period.

(5) The procedure relating to appointment of members of the Special Management Group, remuneration, facilities, and other arrangements shall be as determined by the Authority.

104. Functions, Duties and Powers of the Special Management Group:–

(1) The Special Management Group constituted under Section 103 may exercise all the powers exercisable by the general meeting, Board of Directors, Chief Executive Officer, or other officeholder of the insurer.

(2) Subject to sub-section (1), the Special Management Group shall have the following powers in relation to managing the movable and immovable property of the concerned insurer, settling any property and liability, and adopting all necessary measures for the protection and care of the insurer's property, and operating such insurer:-

(a) to transfer or assign shares or other instruments issued by the insurer, whether some or all shareholders, in the name of any other person or organization, as prescribed,

(b) to acquire, sell, gain access to, or control the office, ledgers, records, property, and information system of some or all of the property of the insurer or its subsidiary company,

(c) to acquire or sell property or rights held by the insurer or by any other person or organization,

(d) to transfer certain rights and liabilities of the insurer to another person,

(e) to sell the remaining unsold shares of the insurer,

(f) to cancel some or all shares and other financial instruments issued by the insurer,

(g) to issue shares or other instruments relating to capital,

(h) to transfer some or all classes (portfolios) of insurance business conducted by the insurer to another insurer,

(i) to cause relevant persons or organizations to submit documents considered necessary to advance the work of the Special Management Group,

(j) to carry out or cause to be carried out necessary work to protect the interests of the insured.

(3) When managing under this Section, the Special Management Group shall not be required to obtain the approval of, or notify, the founders, shareholders, insured, insurance intermediaries, or any other person or organization of the public or private sector, except as otherwise mentioned in this Chapter.

(4) The Special Management Group may carry out or cause to be carried out, on behalf of the insurer, the following functions:-

(a) to continue the work being carried out by the insurer, and carry out all necessary work for such continuity,

(b) to suspend or stop some or all work being carried out by the insurer,

(c) to withhold underwriting or payment of insurance liability, or fix a limit thereon,

(d) to appoint necessary employees, officeholders, or consultants for the insurer,

(e) to call a meeting of shareholders, insured, insurance intermediaries, employees, or officeholders for discussion and decision on matters considered necessary,

(f) to defend legally or litigate on behalf of the insurer,

(g) to carry out or cause to be carried out other necessary work relating to the operations of the insurer.

(5) Where the Special Management Group considers it appropriate to merge the insurer under its control with another, or to have it merged, it shall propose the same, with reasons, to the Authority.

(6) Notwithstanding anything contained in prevailing law, when selling the property of the insurer, the Special Management Group may adopt one or more methods, such as auction, sealed tender, or negotiation, in a transparent and professional manner, after fixing the basic minimum price as prescribed.

(7) The Special Management Group shall submit to the Authority, from time to time as prescribed, the financial statements, the plan for sale of the property of such institution and its views thereon, projection of the institution's liabilities or the manner of their payment, and details including actual transfer of property and estimation of liabilities.

(8) Where the Special Management Group considers it necessary to carry out work such as sale of property, consolidation of property, or projection of liabilities, it may entrust such work to any body or company capable of carrying it out.

(9) All expenses incurred by the Special Management Group in accomplishing the work assigned to it under this Section shall be borne by the insurer, and the limit of such expenses shall be as determined by the Authority.

105. Suspension of Officeholders:–

(1) During the period the Special Management Group has taken control of the insurer, the directors and Chief Executive Officer of the insurer shall automatically be suspended.

(2) Notwithstanding anything contained in sub-section (1), the Special Management Group may, if it considers appropriate, lift the suspension of the directors and Chief Executive Officer of the insurer and deploy them for prescribed work.

(3) The Special Management Group may, at any time, remove from office a person who fails to perform work assigned under sub-section (2).

106. Notice to be Given:–

(1) Within three days of commencing work after taking control of an insurer, the Special Management Group shall give notice, containing the following details, at every office of the concerned insurer:-

(a) the date and time from which control of the concerned insurer was taken and work commenced,

(b) the fact that the authority and responsibility of the person handling the principal management of the concerned insurer, or the concerned authorized person, has been cancelled,

(c) the manner, time, and place for the insured to file insurance claims,

(d) the manner, time, and place for various other parties to file various claims.

(2) The notice under sub-section (1) shall be published for four consecutive weeks, once a week, through at least two national-level daily newspapers and also through its own website.

(3) The Special Management Group shall submit to the Authority, the Securities Board of Nepal, and the Office of the Company Registrar, in writing, information regarding the status of the insurer taken under control, the authorized officer, and changes made to his/her authority.

107. New Financial Statements to be Prepared:–

(1) The Special Management Group shall prepare new financial statements, as prescribed, showing the actual position of the insurer taken under control.

(2) The financial statements prepared under sub-section (1) and detailed particulars thereof shall be submitted to the Authority.

108. Arrangements After Improvement in the Condition of the Insurer:–

Where it appears that the condition of an insurer taken under control by the Special Management Group has improved, the Special Management Group may take the following action:-

(a) to lift the suspension of the suspended Board of Directors,

(b) to hand over management of the insurer to its Board of Directors,

(c) to constitute a new Board of Directors from among the shareholders of the insurer for the interim period, and direct that a general meeting be called within six months,

(d) to call a general meeting of the insurer and constitute a new Board of Directors.

109. Measures Where Condition of Insurer Does Not Improve:–

Where the condition of an insurer taken under control under this Act does not improve, the Special Management Group may take the following action:-

(a) to sell forfeited shares by auction within the prescribed period and transfer them,

(b) to recommend to the Authority to merge such insurer with another insurer within a fixed time,

(c) to recommend to the Authority to transfer the insurance business of such insurer to another insurer and cancel the licence of such insurer,

(d) to recommend to the Authority to improve the condition of the insurer under Section 110,

(e) to recommend to the Authority to initiate insolvency proceedings relating to such insurer.

110. Recommendation may be Made for Improving the Financial Condition of the Insurer:–

(1) If it appears likely that proceeding with the action under clause (a), (b), (c) or (d) of Section 109, by reason of the financial condition of an insurer taken under control under Section 102 not having improved, would have a negative effect on the insurance sector as a whole, the Special Management Group shall prepare a report mentioning that fact and including the condition of the assets and liabilities of such insurer so as to prevent such situation from arising, and submit it to the Authority.

(2) Upon examining the report received under sub-section (1), if it is confirmed that management or settlement of such insurer would have a negative impact on the insurance sector as a whole, and if it appears that investment by the Government of Nepal in such insurer would improve its financial condition, the Authority may recommend its opinion, together with such conclusion, to the Ministry.

(3) Upon receiving the recommendation under sub-section (2), the Ministry may invest in the share ownership of such insurer and improve its financial condition.

(4) After the financial condition of the insurer has improved under sub-section (3), the Ministry may, within five years, sell its share investment through a bidding process.

111. Other Provisions Relating to Special Management of an Insurer:–

(1) No one shall obstruct, cause to obstruct, or interfere with the work of the Special Management Group.

(2) Where any act is done or caused to be done contrary to sub-section (1), the Special Management Group may request necessary assistance from the concerned administration or police.

(3) Where a request is made under sub-section (2), the concerned body shall make necessary security arrangements so that the Special Management Group may smoothly take control of, and work on, the office, property, records, ledgers, and information technology system of such insurer.

(4) A party aggrieved by an act done by the Special Management Group or the Authority under this Chapter may, for compensation, file a petition with the High Court within sixty days from the date the Special Management Group submitted its report to the Authority, or from the date such Group was dissolved for any reason.

(5) The High Court may award reasonable financial compensation to the aggrieved party in the following circumstances:-

(a) where any act was done exceeding jurisdiction in the course of management of the insurer taken under control,

(b) where the settlement process under this Act was not completed,

(c) where action in the management of the insurer taken under control was taken without sufficient basis and reason.

(6) The Special Management Group shall, in exercising the authority conferred on it under this Act, act in a transparent and equitable manner so as to protect the interests of the concerned insured and other stakeholders.

(7) Notwithstanding anything contained in prevailing law, no insured, shareholder, or creditor shall be entitled to file any suit against any act done by the directors and officeholders of the concerned insurer in the course of implementing a decision of the

Authority or the Special Management Group, in a manner that assists the process of management of the insurer taken under control by the Authority.

112. Final Report to be Submitted:–

Where the Special Management Group has completed the work required to be done under this Act in relation to the insurer taken under its control, or its term has ended, or the Group has been dissolved for any reason, it shall submit to the Authority, within thirty days from the date such work was completed, its term ended, or it was dissolved, a final report containing prescribed details of the work it has performed.

Chapter-14
Transfer of Insurance Business and Merger or Amalgamation of Insurers

113. Power to Transfer Insurance Business:–

(1) An insurer may, with the approval of the Authority, transfer all or some types (portfolios) of the insurance business it conducts to another insurer conducting the same type of insurance business.

(2) Where an insurer wishes to transfer or receive insurance business under sub-section (1), the concerned insurers shall each pass a special resolution to that effect through their general meetings, enter into a mutual agreement, and submit a joint application to the Authority together with the prescribed documents.

(3) Upon examining an application received under sub-section (2), and after making such further inquiries with the applicant as may be necessary, if it appears reasonable to transfer the insurance business, the Authority may grant approval, as prescribed, for such transfer in accordance with the agreement.

(4) Notwithstanding anything contained in sub-section (3), the Authority shall not grant approval for transfer of any insurance business where it appears likely that such transfer would cause detriment or loss to the insured, increase unhealthy competition in insurance business, or establish a monopoly or restrictive trade practice of any insurer.

(5) After approval for transfer of insurance business has been obtained under sub-section (3) and the insurance business transferred, the assets and liabilities of such business shall vest in the insurer receiving the transfer.

(6) Other matters relating to transfer of insurance business shall be as prescribed.

114. Insurers May Merge or Amalgamate:–

(1) Insurers conducting the same type of insurance business may, with the approval of the Authority, merge or amalgamate with each other under prevailing law.

(2) Before proceeding with a merger or amalgamation under sub-section (1), both the merging and amalgamating insurers shall submit a joint application to the Authority for approval, together with the prescribed documents.

(3) Upon examining an application received under sub-section (2), if it appears reasonable to merge or amalgamate the insurers, the Authority shall grant in-principle approval to proceed with the process.

(4) After obtaining in-principle approval under sub-section (3), the merging and amalgamating insurers shall appoint a person qualified to be an auditor of an insurer as valuer to value the assets, liabilities, and business of their respective companies, and shall submit an application to the Authority together with such valuation details, prepared as prescribed.

(5) Upon receiving an application under sub-section (4), the Authority shall carry out necessary inquiry, make such further inquiries with the applicant as may be necessary, and, if it appears reasonable for the applicant insurers to merge or amalgamate with each other, may grant approval for such merger or amalgamation.

Provided that the Authority shall not grant approval for such insurers to merge or amalgamate where it appears likely that doing so would cause detriment or loss to the insured, increase unhealthy competition in insurance business, or establish a monopoly of any insurer or a restrictive trade practice.

(6) Other matters relating to merger or amalgamation of insurers shall be as prescribed.

115. Authority May Direct Merger or Amalgamation:–

(1) In the following circumstances, the Authority may, specifying a period, direct an insurer to merge or amalgamate with another insurer:-

(a) where the Special Management Group has recommended to the Authority to merge an insurer under clause (b) of Section 109, or

(b) where a director or founder of an insurer has a direct or indirect financial, business, or personal interest in another insurer.

(2) Where a direction is given under sub-section (1), such insurer shall submit a merger proposal to the Authority for approval within the period fixed by the Authority, and after approval is obtained from the Authority, such insurer shall be amalgamated with the other insurer.

116. An Insurer May Acquire Another Insurer:–

(1) An insurer may acquire another insurer conducting the same type of insurance business.

(2) Where an insurer wishes to acquire another insurer under sub-section (1), both insurers shall pass a special resolution to that effect through their respective general meetings and submit a joint application for in-principle consent to the Authority.

(3) Upon examining an application received under sub-section (2), if it appears appropriate to grant in-principle consent, the Authority may grant in-principle consent on the following grounds:-

(a) where the target insurer is unable to discharge short-term or long-term liabilities, and it appears reasonable for another insurer to acquire it,

(b) where the target insurer is unable to maintain the paid-up capital under Section 36 or the fund required to be maintained under this Act, and it appears reasonable for another insurer to acquire it,

(c) where the target insurer has been unable to issue shares to the general public within the specified period.

(4) Notwithstanding anything contained in sub-section (3), the Authority shall not grant approval for one insurer to acquire another where it appears likely that doing so would cause detriment or loss to the insured, increase unhealthy competition in insurance business, or establish a monopoly of any insurer or a restrictive practice.

(5) Upon receiving in-principle consent under sub-section (3), the acquiring insurer shall appoint a valuer, from among persons qualified to be auditors of an insurer, to study and submit a report on the following matters:-

(a) the overall financial condition of the acquiring and target insurers, including valuation of their assets, liabilities, and business,

(b) a general projection of the effect the acquisition of the target insurer by the acquiring insurer may have on the insurance system, and the acquiring insurer's business plan,

(c) management of the employees of the target insurer after acquisition,

(d) management of the short-term and long-term liabilities of the target insurer after acquisition,

(e) other prescribed details.

(6) The valuer appointed under sub-section (5) shall submit a copy of the study report prepared by him/her to the Authority and to the acquiring insurer.

(7) Where it appears appropriate, on the basis of the report under sub-section (6), to acquire the target insurer, the Authority shall grant approval for the acquisition of such insurer.

(8) After approval has been obtained under sub-section (7), regarding the management of the assets and liabilities of the target insurer, both insurers shall enter into a mutual agreement, and the acquiring insurer shall purchase the prescribed number of founder shares or other shares of the target insurer.

(9) Other matters relating to acquisition of an insurer shall be as prescribed.

Chapter-15
Insolvency of an Insurance Company

117. Dissolution of Insurer:–

(1) Notwithstanding anything contained in prevailing law, no insurer shall be dissolved [4]without the approval of the Authority.

(2) Where an insurer wishes to be dissolved, it shall, having obtained a decision from its general meeting, submit an application to the Authority together with a voluntary dissolution work plan.

(3) Upon receiving an application from an insurer under sub-section (2), the Authority shall carry out necessary inquiry, and if it is satisfied that such insurer is capable of fully discharging its liabilities, it may, specifying necessary conditions, grant approval to the insurer to proceed with action for dissolution.

118. Conditions Relating to Dissolution of Insurer:–

(1) Notwithstanding anything contained in prevailing law, upon approval being obtained from the Authority for dissolution of an insurer under Section 117, the process of dissolution shall be deemed to have commenced from that date.

(2) When dissolving an insurer, the following shall be done:-

(a) within thirty-five days of obtaining approval from the Authority, notice that the insurer is under dissolution shall be published at least twice in two national-level daily newspapers and through the Authority's website,

(b) notice that the insurer is under dissolution shall be given to all insured persons, creditors or stakeholders, and the Office of the Company Registrar, within thirty-five days,

(c) the amount payable to the insured under the policy, the loan amount payable to creditors, and other liabilities to be discharged shall be discharged within the period fixed by the Authority,

(d) where the amount payable to the insured under clause (c) has not yet matured for payment under the policy, such payable amount shall be deemed to have automatically matured on the last day of the period fixed by the Authority,

(e) where any insured, creditor, or stakeholder does not come to receive payment, or is unable to receive payment for any reason, when making payment or discharging liability under clause (c), an amount equal to the liability to be discharged shall be deposited in a separate account in a bank designated by the Authority, as per conditions determined by the Authority,

[4]Inserted by the Act Amending Some Nepal Acts, 2082.

(f) after approval has been obtained from the Authority, the insurer shall not create any liability or exercise any authority other than what is essential for the dissolution.

(3) The licence of the insurer shall be automatically cancelled from the date the process of dissolution of the insurer is completed by the Authority.

(4) The Authority may formulate and implement necessary directives relating to dissolution of an insurer.

119. Authority May Initiate Insolvency Proceedings:–

Notwithstanding anything contained in this Act or other prevailing law, in the following circumstances, the Authority may, with sufficient grounds confirming the same, proceed with action to initiate insolvency proceedings of an insurer:-

(a) where, for three consecutive financial years, the liabilities of the insurer exceed its assets,

(b) where a payment period has matured, or a liability payable immediately has not been discharged within the specified period,

(c) where a decision has been made to initiate insolvency proceedings under clause (e) of Section 109,

(d) where it is found that the insurer, its director, or Chief Executive Officer has acted against the interests of the insured, and directions given by the Authority for improvement thereof have been repeatedly violated,

(e) where the capital fund of the insurer has been negative for three consecutive years,

(f) where the licence of the insurer has been cancelled under Section 137,

(g) where the insurer has applied for dissolution under Section 117.

120. Appointment of Liquidator:–

(1) To proceed with action under Section 119, the Authority shall appoint a liquidator and publish notice thereof at least twice in two national-level daily newspapers and also through the Authority's website.

(2) After a liquidator has been appointed by the Authority under sub-section (1), the entire insurance business conducted by the insurer shall automatically be suspended.

121. Priority in Payment of Liabilities on Dissolution of Insurer:–

Notwithstanding anything contained in prevailing law, upon the dissolution or insolvency of any insurer, liabilities shall be paid on the basis of the following order of priority:-

(a) expenses incurred in the process of dissolution or insolvency of the insurer,

(b) amounts payable or outstanding to be paid to the insured,

(c) taxes, duties, and fees payable to the Government of Nepal under prevailing law,

(d) the regulatory fee amount payable to the Authority,

(e) remuneration or commission payable to insurance intermediaries,

(f) amounts payable to other insurers on account of insurance,

(g) salary, allowances, provident fund, gratuity, and other amounts payable to employees,

(h) other liabilities to be borne by the insurer,

(i) any other liability payable or to be discharged by the insurer,

(j) amounts payable to shareholders.

122. Insolvency of the Branch Office of a Foreign Insurance Company Located in Nepal:–

(1) Notwithstanding anything contained in prevailing law, as soon as insolvency proceedings commence against a foreign insurance company under the law of the concerned country, the insurance transactions of its branch office located in Nepal shall automatically cease.

(2) Notwithstanding anything contained in prevailing law, where, due to the commencement of insolvency proceedings against a foreign insurance company under the law of the concerned country, the liabilities of its branch office located in Nepal appear likely to be affected, such office shall immediately provide the Authority with information, including particulars of the assets located in Nepal, necessary to discharge the liabilities arising from the insurance business it has conducted in Nepal.

(3) Upon receiving information that proceedings have commenced under sub-section (2), the Authority shall appoint a valuer for that purpose and cause valuation of the liabilities of the insurance business conducted by such office in Nepal and of the assets of such office located in Nepal.

(4) The valuer appointed under sub-section (3) shall submit a report specifying the amounts under Sections 38, 39, 40, and 41, the valued amount together with particulars of other movable and immovable property of such office, the amount of liability, existing at present and at maturity, in respect of the policies issued by such office, the amount payable to the Government of Nepal, and particulars of other amounts and liabilities payable.

(5) After receiving the report under sub-section (4), the Authority shall, as prescribed, freeze the amount corresponding to the liability to be borne by such office in Nepal so that it cannot be spent by such insurer.

(6) The liability to be borne by such office shall be discharged, as prescribed, from the amount under sub-section (5).

(7) The remaining amount, after discharge of liability under sub-section (6), may be taken back to the concerned country under prevailing law.

(8) Where it appears from the report under sub-section (4) that the liability towards the insured or other liability created due to conducting insurance business in Nepal cannot be discharged, the Authority shall direct such office to arrange the necessary amount to discharge such liability.

(9) Where a direction has been given under sub-section (8), it shall be the duty of the concerned office to arrange such amount.

(10) Where the office is unable to arrange such amount under sub-section (9), the Authority shall request the Government of Nepal to make arrangements, through diplomatic channels, to obtain such amount from the regulatory body of the concerned country.

(11) Where the liability cannot be discharged under sub-section (10), the Authority shall arrange for the necessary amount to be borne from the Policyholders' Protection Fund.

(12) Where the liability cannot be discharged under sub-section (11), the Authority may request the Government of Nepal to bear the liability of such amount.

Chapter-16
Insurance Claims

123. Insurance Claims to be Settled:–

(1) Where an insurance claim is submitted as mentioned in the policy, the insurer shall, having caused loss assessment where necessary, or, where loss assessment is not necessary, settle such claim within the period prescribed from the date it was so submitted.

(2) Where the insured or his/her heir cannot be found, or the claim cannot be paid to him/her, within the period prescribed under prevailing law, the amount payable at the time of the claim shall be deposited in the Unclaimed Fund, to be paid when the claim arises.

(3) Where the person entitled to receive the amount of an insurance claim cannot be found, the insurer shall securely keep evidence that it has searched for, attempted to contact, or made sufficient efforts to pay the amount to the insured or heir.

(4) The insurer shall submit to the Authority details of claims that could not be settled within the prescribed time.

(5) Notwithstanding anything else contained in this Act, where a disaster or other crisis, including a major disaster, occurs in any part or area of the country, the Authority may prepare and implement a separate procedure relating to insurance claims for a specified period in the area affected by such crisis.

(6) Other matters relating to settlement of insurance claims and the Unclaimed Fund shall be as prescribed.

124. Payment of Reinsurance Claims:–

(1) The reinsurer shall pay the amount of the reinsurance claim on the basis of the reinsurance contract entered into between the insurer conducting insurance business and the insurer conducting reinsurance business.

(2) Settlement of reinsurance claims and other matters relating thereto shall be as prescribed.

125. Settlement of Small Amount Claim:–

(1) The liability for a claim of an amount smaller than the limit specified by the Authority shall be settled as a small amount claim.

(2) Other provisions relating to payment of a claim of a small amount shall be as prescribed.

126. Clear-Cut Loss:–

(1) Loss or damage of a nature prescribed by the Authority shall be settled as a clear-cut loss.

(2) Other matters relating to clear-cut loss shall be as prescribed.

127. Person Entitled to Payment:–

(1) Where, before payment of a claim under a life insurance policy, the insured dies, the amount under the policy shall be paid to the person nominated by the insured in the policy.

(2) Where the insured has not nominated anyone, or the nominated person has already predeceased the insured, such amount shall be paid to his/her heir under prevailing law.

(3) Notwithstanding anything contained in sub-section (1) or (2), where the insured has given power of attorney over the policy to someone, the right to receive the amount of the insurance claim, to the extent of such authority given, shall remain secured to the person holding such power of attorney.

Chapter-17
Provisions Relating to Complaints

128. Complaint Relating to Claim Payment:–

(1) Where an insurer fails to pay an insurance claim to the insured within the period mentioned in the policy, fails to determine liability, or determines liability in a manner detrimental to the insured, the concerned insured may file a complaint with the Authority.

(2) Where a complaint is filed under sub-section (1), the Authority shall carry out necessary inquiry and give the concerned insurer fifteen days to submit its response.

(3) Where a response is received under sub-section (2), the Authority shall examine the evidence accordingly, and where the insurer fails to submit a response within the time given, the Authority may do the following:-

(a) arrange conciliation between the complainant and the insurer,

(b) order reasonable compensation to be paid where the insured has suffered loss due to non-payment of the claim,

(c) order the concerned insurer to redetermine liability where the liability determined by the insurer does not appear reasonable,

(d) order the concerned insurer to make payment where it appears that the insurer must pay the claim,

(e) give other appropriate orders.

(4) Where a complaint is filed against an insurer for non-payment of a claim under the policy, and it is decided that the claim must be paid, the concerned insurer shall, in addition to the insurance amount, pay to the complainant interest at the rate of ten percent from the date the complaint was filed, together with an amount equal to the actual expenses incurred in obtaining the legal remedy.

(5) An insurer, insured, or any other person dissatisfied with an order given by the Authority under sub-section (3) may appeal to the concerned High Court within thirty-five days.

(6) Other matters relating to proceedings on a complaint under this Section shall be as prescribed.

129. Complaint Relating to Loss or Damage:–

(1) Where an insurer, or any of its directors, officeholders, or employees, or an insurance intermediary or other insurance service provider, does any act against the interests of any insured and causes loss or damage to him/her, the concerned insurer shall be liable and shall pay compensation therefor.

(2) Where loss or damage is caused by an act under sub-section (1), the insured may file a complaint with the Authority within the prescribed period from the date of coming to know of that fact.

(3) Where a complaint is filed under sub-section (2), the Authority shall carry out necessary investigation or inquiry and give the concerned insurer, director, officeholder, employee, or insurance intermediary seven days to submit a response.

(4) Where a response is received under sub-section (3), or a response is not received within the time given, the Authority shall carry out necessary inquiry and may order the party causing the loss or damage to pay reasonable compensation to the complainant, or may order conciliation between the complainant and the insurer.

(5) A party dissatisfied with an order to pay compensation given under sub-section (4) may appeal to the concerned High Court within thirty-five days.

(6) Other matters relating to proceedings on a complaint under this Section shall be as prescribed.

130. Insurance Mediation:–

Where a dispute arises between insurers licensed under this Act, or between insurance intermediaries, or between an insurer, intermediary, or other parties to insurance, and such dispute cannot be resolved by mutual understanding, the Authority may, at the request of any one party to the dispute or on its own initiative, mediate and resolve the dispute as prescribed.

Chapter-18
Conduct and Management of Insurance in the Provinces

131. Conduct and Management of Insurance in the Provinces:–

(1) A Province may, subject to this Act, enact law and conduct and manage insurance on the following matters:-

(a) extending the reach of insurance,

(b) issuing and renewing licences of insurance agents, as prescribed,

(c) conducting training programmes relating to insurance,

(d) hearing grievances on prescribed matters.

(2) In carrying out the work under sub-section (1), the work shall be carried out subject to the standards fixed by the Authority.

(3) Notwithstanding anything else contained in this Act, until a Province enacts law and commences its own work under this Section, the Authority shall carry out the work under this Section.

132. Details to be Made Available:–

(1) The Authority shall make available to the concerned body of the Province the details of insurers and insurance intermediaries licensed under this Act.

(2) An insurer shall make available to the concerned body of the Province details of the offices opened in each Province and of the insurance intermediaries connected with it.

133. Report to be Submitted:–

An insurer conducted and managed under Section 131 shall prepare an annual report, as prescribed, of the work it has carried out in the concerned Province during the year, and submit it to the concerned body of the Province. A copy of such report so prepared shall also be sent to the Authority.

Chapter-19
Proceedings, Offences and Penalties

134. Regulatory Action:–

(1) Where an insurer is found to have violated this Act or the Rules, Regulations, directives, or orders framed or issued under this Act, or is found to have submitted incorrect details or statistics to the Authority, the Authority may take the following action against such insurer or any of its directors, officeholders, Chief Executive Officer, employees, or the insurance intermediary or other insurance service provider:-

(a) to give written caution or warning,

(b) to obtain a commitment for improvement, or to order improvement within a specified period,

(c) to take control of the property or ledgers of the insurer,

(d) to prohibit distribution or issuance of dividend, bonus shares, or rights shares payable to shareholders,

(e) to suspend, or order the insurer to suspend, its directors, officeholders, Chief Executive Officer, employees, and insurance intermediaries,

(f) to fully or partially suspend the conduct of insurance business,

(g) to file a petition with the concerned High Court to dissolve the licensed insurance company.

(2) Where a founder, shareholder, director, Chief Executive Officer, officeholder, employee, or other concerned person of any insurer violates this Act, the Rules or Regulations framed under this Act, or directions or orders, the Authority may, having regard to the nature and seriousness of the violation, take one or more of the following actions:-

(a) to forfeit and freeze the shares of the concerned insurer held by such person and cause such shares to be sold, or sell them, to another person or organization,

(b) to withhold or suspend all or some facilities, including meeting allowances and remuneration receivable by the Board of Directors, directors, officeholders, and other employees of the insurer,

(c) where it is found, through regulation, inspection, or monitoring by the Authority, that the insurer has not worked in the interest of the insured, shareholders, or the insurer, to remove the Chairperson, director, Chief Executive Officer, or employee of the insurer from office by written notice,

(d) where anyone has taken or given salary, allowance, or other facility contrary to this Act, the Rules, Regulations, direction, or order framed or issued under this Act, to recover all such service benefits or the amount thereof and interest under prevailing law from the persons giving such service benefits,

(e) to order the concerned insurer to write to the body with which the director, officeholder, Chief Executive Officer, or employee of the insurer is professionally associated, for action against him/her.

(3) A person removed from office under clause (c) of sub-section (2) shall not be entitled to any compensation or facility for such removal, and shall not be entitled to be appointed to the service of any insurer for five years from the date of such removal.

(4) Where an insurer has to pay compensation due to the negligence or malafide act of a director, officeholder, Chief Executive Officer, or employee, the Authority may order that such amount be recovered from such director, officeholder, Chief Executive Officer, or employee.

(5) Such director, officeholder, Chief Executive Officer, or employee shall personally pay such amount within thirty-five days from the date of receiving notice of the order given under sub-section (4).

(6) Where the amount under sub-section (5) is not paid or discharged within the period fixed by the Authority, it shall be recovered as government dues from any bank or financial institution account held in the name of such director, officeholder, Chief Executive Officer, or employee, or of a member of his/her joint family, or from any movable or immovable property of him/her or a member of his/her joint family.

(7) Where the Authority has carried out regulation, inspection, monitoring, or other action against any insurer or intermediary under this Act and published or broadcast notice thereof, the insurer shall bear the expenses incurred in publishing or broadcasting such notice.

135. Power to Direct Suspension or Cancellation of Insurance Payment:–

Notwithstanding anything else contained in this Act, in the following circumstances the Authority may direct that a policy not be issued to a person, or that an amount payable under a policy be withheld, or that a policy be cancelled:-

(a) to prevent any act against insurance business or the interests of the insured,

(b) to assist in the investigation of any offence,

(c) to assist in controlling money laundering, financing of terrorist activities, fraud, corruption, human trafficking, or other organized crime.

136. Power to Suspend Licence or Suspend Business:–

(1) Where an insurer does any of the following acts, the Authority may suspend the licence of such insurer for a specified period, or fully or partially suspend such insurer from conducting insurance business:-

(a) where it fails to maintain the minimum paid-up capital under Section 36,

(b) where a decision made regarding claim payment or loss or damage under Section 128 or 129 is not implemented within the specified period,

(c) where allowing the insurer to continue conducting insurance business would cause serious detriment to the insured,

(d) where it stops insurance business without the approval of the Authority,

(e) where it does any other act prohibited under this Act, the Rules or Regulations framed under this Act, or prevailing law,

(f) where it repeatedly violates a direction or order given by the Authority.

(2) Before suspending an insurer's licence or fully or partially suspending its insurance business under sub-section (1), the Authority shall give the concerned insurer a reasonable opportunity to submit a clarification.

(3) Where the clarification submitted by the insurer under sub-section (2) appears satisfactory, the Authority may lift such suspension.

(4) Where an insurer has been fully or partially suspended from conducting insurance business under sub-section (1), notice thereof shall be published for public information through at least two national-level daily newspapers and the Authority's website.

137. Power to Cancel Licence of Insurer:–

(1) In the following circumstances, the Authority may cancel the licence of an insurer:-

(a) where the suspension has not been lifted even after one year from the imposition of restriction on conducting insurance business or suspension of licence under Section 136,

(b) where allowing the insurer to continue conducting insurance business would cause serious detriment to the insured,

(c) where a court has commenced insolvency proceedings against the insurer under prevailing law,

(d) where, on an application by the insurer for dissolution, the process of dissolution has been completed.

(2) Except in the circumstances mentioned in clause (c) or (d) of sub-section (1), before cancelling the licence of an insurer, the Authority shall give the concerned insurer reasonable time, as prescribed, and a reasonable opportunity to submit a clarification.

(3) Notwithstanding anything else contained in this Section, where the circumstance mentioned in clause (a) or (b) of sub-section (1) has arisen and the concerned insurer commits to improve such condition and not repeat the deficiency, the Authority may grant reasonable time, for one occasion, for such insurer to improve its condition or correct the deficiency.

(4) Where the licence of an insurer is cancelled under this Section, the liabilities taken on by the insurer prior to such cancellation shall be settled as prescribed.

(5) Where a licence has been cancelled under this Section, the Authority shall publicize the name of the concerned insurance company for public information through at least two national-level daily newspapers and the Authority's website.

138. Power to Impose Fine:–

(1) The Authority may, in addition to other penalties mentioned in this Act, impose a fine as follows on an insurer, insurance intermediary, or other insurance service provider that fails to prepare details, reports, or documents required to be prepared under this Act or the Rules, Regulations, or directives issued under this Act, fails to give required information, fails to submit required documents and details within the specified time, or fails to make available, within the specified period, documents, details, statistics, or records demanded by the Authority or an officer deputed by the Authority for the purpose of regulation, inspection, or monitoring:-

(a) for an insurer, twenty-five thousand rupees per day for up to one week of delay, and for an insurance intermediary or other insurance service provider, two thousand rupees per day,

(b) for an insurer, fifty thousand rupees per day for up to two weeks of delay, and for an insurance intermediary or other insurance service provider, five thousand rupees per day,

(c) after the period under clause (b) has elapsed, whenever it occurs, one lakh rupees per day for an insurer, and ten thousand rupees per day for an insurance intermediary or other insurance service provider.

(2) Where an insurer fails to have loss assessment conducted within the prescribed time, the Authority may impose the following fine on such insurer:-

(a) five thousand rupees per day for up to one week of delay,

(b) ten thousand rupees per day for up to two weeks of delay,

(c) after the period under clause (b) has elapsed, whenever it occurs, twenty-five thousand rupees per day.

(3) Where an insurer fails to determine liability for a claim within the prescribed period, or determines liability in a manner detrimental to the insured, or fails to settle liability within the prescribed time, the Authority may, having regard to the nature and seriousness of the matter, impose a fine of between two lakh rupees and twenty lakh rupees.

(4) Where an insurer does any act contrary to this Act or the Rules, Regulations, direction, or order framed or issued under this Act, or fails to comply with a direction or order issued by the Authority, or conducts insurance business without following the procedure under this Act, or prepares false particulars, the Authority may impose the following fine:-

(a) two lakh rupees for the first occasion,

(b) twenty-five lakh rupees for the second occasion,

(c) fifty lakh rupees for each occasion, for the third or subsequent occasions.

(5) Where an insurer fails to submit a compliance report, the Authority may impose a fine of between one lakh rupees and three lakh rupees.

(6) Where an insurance intermediary does any act contrary to this Act or the Rules, Regulations, or guidelines framed under this Act, or carries out insurance-related work without following the procedure under this Act, or prepares false particulars, the Authority may impose the following fine:-

(a) five thousand rupees for the first occasion,

(b) twenty-five thousand rupees for the second occasion,

(c) fifty thousand rupees for each occasion, for the third or subsequent occasions.

(7) Where an insurer fails to have its audit conducted within the period under Section 87, the Authority may impose the following fine on such insurer:-

(a) fifty thousand rupees for up to the first week,

(b) one lakh rupees for more than one week and up to one month,

(c) five lakh rupees for more than one month and up to three months,

(d) ten lakh rupees for any period exceeding three months.

(8) Where an insurer, director, officeholder, employee, insurance intermediary, or other insurance service provider required to submit a response under sub-section (2) of Section 128 or sub-section (3) of Section 129 fails to submit such response within the time given, the Authority may impose the following fine:-

(a) one lakh rupees on the insurer,

(b) five thousand rupees on the director, officeholder, employee, insurance intermediary, or other insurance service provider of the insurer.

(9) Where an insurance surveyor submits a loss assessment report later than the prescribed time, the Authority may impose the following fine on such surveyor for such delay:-

(a) two thousand rupees for up to one week after expiry of the period,

(b) five thousand rupees for up to two weeks after expiry of the period,

(c) ten thousand rupees for up to one month after expiry of the period,

(d) twenty-five thousand rupees for any period exceeding one month after expiry of the period.

(10) Where, during investigation or inquiry upon a complaint, or during regulation, inspection, or monitoring by the Authority, an insurance surveyor is found to have

submitted a report with incorrect assessment of loss, the Authority may, for the first occasion, give a caution or impose a fine of fifty thousand rupees, or both, and where the same act is repeated, cancel his/her licence, impose a fine of one lakh rupees, and recover from him/her an amount equal to the loss caused to the insured and cause it to be paid to the insured.

(11) Notwithstanding anything contained in prevailing law, where it is found that a person has kept or concealed, in the name of himself/herself, a member of his/her joint family, a relative, or any other person, property earned by committing an act punishable with a fine under this Section, a letter shall be written to the concerned body for confiscation of such property and any property that has increased or accrued therefrom, and it shall be the duty of such body to act accordingly.

(12) A party dissatisfied with a penalty imposed by the Authority under this Section may appeal to the concerned High Court within thirty-five days from the date of receiving the penalty.

139. Procedure for Proceedings:–

(1) Before taking regulatory action under Section 134 or imposing a fine under Section 138, the Authority shall give written notice to the concerned insurer, insurance intermediary, other insurance service provider, or person, giving seven days to submit a clarification regarding the proposed action or fine.

(2) The concerned insurer, insurance intermediary, or person shall submit its clarification in writing to the Authority within seven days from the date of receiving the written notice under sub-section (1).

(3) Where the clarification submitted under sub-section (2) appears satisfactory, the Authority may amend or revoke such action or fine.

(4) Other procedures to be followed by the Authority when taking action or imposing a fine under this Act shall be as determined by the Authority.

140. Offence:–

(1) The following acts shall be deemed to be an offence under this Act:-

(a) conducting insurance business without a licence under Section 24,

(b) working as an insurance intermediary or other insurance service provider without a licence under Section 90,

(c) an insurer, whether in collusion or not with an insurance intermediary, other insurance service provider, or another party, paying an insurance claim by committing fraud or deceit relating to insurance, whether or not by preparing false particulars or documents,

(d) an insured, whether in collusion or not with an insurance intermediary, other insurance service provider, or another party, obtaining payment of an insurance

claim by committing fraud or deceit relating to insurance, whether or not by submitting false particulars or documents,

(e) an insurance surveyor, in valuing loss, causing loss or damage to the insurer or the insured by carrying out an excessive, insufficient, or incorrect valuation out of self-interest or malafide intent,

(f) an insurance agent, in bad faith, misappropriating the premium payable by the insured to the insurer under the policy by not remitting it to the insurer,

(g) an employee, officeholder, or any other person of an insurer committing any irregularity or financial misappropriation while issuing a policy, valuing the loss of insured property and liability, paying an insurance claim, or in the course of conducting insurance business,

(h) any director, officeholder, Chief Executive Officer, employee, or other person committing irregularity when merging or amalgamating, acquiring, dissolving, or auditing an insurer,

(i) attempting to commit, or in any manner assisting the commission of, an offence under clauses (a) to (h).

(2) Where any officeholder or employee of a foreign insurer, other than in the ordinary course of business of a branch office, transfers any property of such branch office to another country without obtaining the approval of the Authority, or by submitting false particulars, or authorizes such transfer, or does or assists in any act that facilitates such transfer, it shall be deemed to be an offence under this Act.

141. Penalty:–

(1) A person who commits an offence under clause (a) of sub-section (1) of Section 140 shall have the amount involved confiscated and shall be fined three times the amount involved, and the person conducting such business shall be sentenced to imprisonment for five to ten years.

(2) A person who commits an offence under clause (b), (c), or (d) of sub-section (1) of Section 140 shall have the amount involved confiscated and shall be fined an amount equal to such amount, or shall be sentenced to imprisonment for up to three years.

(3) A person who commits an offence under clause (e), (f), (g), or (h) of sub-section (1) of Section 140 shall have the amount involved confiscated and shall receive the following punishment:-

(a) imprisonment for up to one year where the amount involved is up to ten lakh rupees,

(b) imprisonment for up to two years where the amount involved exceeds ten lakh rupees but does not exceed fifty lakh rupees,

(c) imprisonment for up to three years where the amount involved exceeds fifty lakh rupees but does not exceed one crore rupees,

(d) imprisonment for three to five years where the amount involved exceeds one crore rupees, however much it may be.

(4) A person who commits an offence under clause (i) of sub-section (1) of Section 140 shall receive half the punishment that the principal offender would receive.

(5) A person who commits an offence under sub-section (2) of Section 140 shall be fined an amount equal to the amount involved, and shall be sentenced to imprisonment for up to five years.

(6) For the purpose of this Section, the amount involved shall be determined by calculating the total amount of the transaction concerned.

(7) Where it is not possible to determine the amount involved under this Section, having regard to the extent of the offence, a fine of up to ten lakh rupees and imprisonment for up to two years may be imposed.

(8) Where an act punishable under this Section is committed by an organized institution, the concerned director, Chief Executive Officer, officeholder, or employee committing such offence shall be punished.

142. Prohibition on Carrying Out Insurance-Related Work:–

Where the licence of any director, officeholder, or employee of an insurer, or of any insurance agent or insurance intermediary, has been suspended, or a case relating to an offence under Section 140 has been filed against him/her in court, such director, officeholder, Chief Executive Officer, consultant, employee, or insurance intermediary shall not be entitled to carry out any work relating to insurance business until the suspension is lifted or the case is finally concluded.

143. Special Provisions Relating to the Insured:–

(1) Where any insured, whether in collusion or not with the insurer, insurance intermediary, or other insurance service provider, commits fraud or deceit relating to insurance, whether or not by submitting false particulars, fails to submit particulars required to be submitted or submits particulars not required to be submitted, conceals any basic fact regarding himself/herself or the insured property, or where there is suspicion regarding an insurance claim made, or suspicion that the insurer, insurance intermediary, or other insurance service provider has been influenced, the Authority may investigate or inquire into such insured.

(2) It shall be the duty of such insured to cooperate with the Authority when the Authority conducts an investigation or inquiry under sub-section (1).

(3) Where the insured is found guilty from the investigation or inquiry conducted under sub-section (1), the matter shall be forwarded in writing to the body having jurisdiction under prevailing law.

(4) Where an insured or any other person fails to cooperate in an investigation or inquiry under this Section, or commits insurance fraud or insurance deceit, and the Authority receives written communication in that regard from a body with jurisdiction under prevailing law, the Authority may blacklist such person and prohibit insurance of any business in which such person is involved for five years.

(5) Other matters relating to investigation or inquiry of the insured shall be as prescribed.

144. Punishment for Obstruction:–

Where any person obstructs the work relating to investigation or inquiry under this Act, the officer hearing the case may, on the basis of the report of the officer conducting the investigation or inquiry, sentence such person to imprisonment for up to six months or a fine of up to one lakh rupees, or both.

145. Limitation for Filing Complaint:–

Where information of an act deemed an offence under this Act comes to the knowledge of the Authority through any means, or is confirmed through inspection by the Authority or investigation or inquiry by an officer or body having jurisdiction under prevailing law, a complaint may be filed within six months from such date, and the case must be filed in court within three months from the date such complaint was filed.

146. Government of Nepal to be Plaintiff:–

(1) A case relating to an offence under Section 140 shall proceed with the Government of Nepal as plaintiff, and such case shall be deemed to be included in Schedule-1 of the Muluki Criminal Procedure Code, 2074.

(2) The Authority shall provide necessary assistance to the concerned officer in the investigation, inquiry, and filing of a case relating to an offence under sub-section (1).

147. Officer Hearing the Case and Execution of Decision:–

(1) The authority to proceed with and conclude a case relating to an offence under Section 140 shall vest in the court designated by the Government of Nepal by publishing notice in the Nepal Gazette.

(2) Except as mentioned in sub-section (1), the Authority itself may investigate or inquire into, and take action and impose punishment for, other acts prohibited under this Act.

(3) For the purpose mentioned in sub-section (2), the Authority shall, in addition to the powers received under the Rules framed under this Act, have powers equivalent to those of a District Court.

(4) A petition or appeal filed with the High Court under this Act shall be heard by the Commercial Bench of the concerned High Court.

148. Power to Demand Details:–

(1) Where, in the course of an investigation or inquiry conducted in relation to regulation or action under this Act, the Authority or the body conducting the investigation or inquiry considers it necessary to obtain any document, account details, documents, or other details for the investigation or inquiry, and considers that such document, account details, or other details are held by any person or organization or that such person or organization can produce such particulars or documents, the Authority or the body conducting the investigation or inquiry may request such person or organization to produce such particulars or documents.

(2) It shall be the duty of all concerned persons or organizations to make available or provide assistance regarding the document, account details, or other details demanded by the body conducting the investigation or inquiry under sub-section (1).

149. Not to Obstruct Punishment:–

Where it is found that a person, while holding any office of an insurer, committed an offence under Section 138, the fact that he/she has retired from such office or is no longer holding such office shall not obstruct investigation, inquiry, and punishment under this Act.

Chapter-20
Miscellaneous

150. Policyholders' Protection Fund:–

(1) There shall be a Policyholders' Protection Fund under the Authority.

(2) The following amounts shall be credited to the fund under sub-section (1):-

(a) amounts set aside by the Authority for that purpose,

(b) amounts received from insurers conducting life insurance business as determined by the Authority,

(c) amounts deposited in the Unclaimed Fund under Section 123 due to inability to make payment [5] where a liability to pay arises under a life insurance policy.

(3) The Policyholders' Protection Fund and other matters relating thereto shall be as prescribed.

151. Insurance Development Fund:–

(1) There shall be an Insurance Development Fund at the Authority for the purpose of extending the reach of insurance to economically disadvantaged citizens and protecting the interests of citizens through insurance.

(2) The following amounts shall be credited to the fund under sub-section (1):-

[5]Amended by the Act Amending Some Nepal Acts, 2082.

(a) amounts received from the Government of Nepal,

(b) an amount equivalent to fifty percent of the micro-insurance regulatory fee received by the Authority from insurers under Section 79, and an amount equivalent to at least thirty-three percent of the regulatory fee received by the Authority from insurers under Section 100, and

(c) amounts received from other sources.

(3) The amount under clause (b) of sub-section (2) shall be credited by the Authority to the fund under sub-section (1) every year.

(4) Use of the amount of the fund under sub-section (1) shall be made in the prescribed area as prescribed.

(5) Other matters relating to the operation and management of the fund under sub-section (1) shall be as prescribed.

152. Grievance Hearing:–

(1) Any complaint relating to any act or action done by an insurer, insured, or insurance intermediary, or by a director, officeholder, employee, or insurance intermediary of an insurer, or any other stakeholder, under this Act, may be filed with the Authority.

(2) Other matters relating to grievance hearing and the officer hearing grievances shall be as prescribed.

153. Not to Transact Insurance Business with Anyone Other than an Insurer:–

(1) No person or organization shall transact insurance business with anyone other than an insurer licensed under this Act.

(2) Insurance of property located in Nepal and of liability arising within Nepal shall be effected only with an insurer licensed under this Act.

154. Power to Constitute an Expert Group:–

(1) The Authority may constitute an expert group, as prescribed, to study, investigate, or inquire into claims relating to fraud, deceit, or cheating that have arisen, occurred, or are likely to occur in insurance business, and to recommend necessary opinions for action, improvement, or policy formulation in that regard.

(2) Other matters relating to the expert group shall be as prescribed.

155. Insurance Information Centre:–

(1) The Authority may establish an Insurance Information Centre to collect, integrate, and organize information relating to the insurance sector.

(2) The Authority shall regulate the Insurance Information Centre established under sub-section (1).

(3) Other matters relating to the Insurance Information Centre shall be as prescribed.

156. Power to Establish an Insurance Institute:–

(1) The Authority may establish an insurance institute to produce skilled manpower in the insurance sector, promote insurance education, and conduct training, study, and research relating to insurance.

(2) Other matters relating to the insurance institute shall be as prescribed.

157. Power to Collect Statistics:–

(1) The Authority may, by itself or from the Government of Nepal or other bodies, collect statistics necessary for it to achieve its objectives and carry out its work.

(2) For this purpose, the Authority may also obtain assistance from authorized persons, associations, organizations, and international associations and organizations within or outside Nepal.

(3) The Authority shall, every month, publish, for public information, work and actions, statistics, and other prescribed details relating to the insurance sector.

158. Not to be Liable for Acts Done in Good Faith:–

(1) No member or employee of the Authority shall be personally or collectively liable in respect of any act done in good faith under this Act or the Rules, Regulations, or guidelines framed under this Act.

Provided that he/she shall be personally liable in respect of any act done knowingly or with wrongful intent.

(2) Where any case is filed against a member or employee of the Authority in relation to any loss or damage arising from anything done or attempted to be done in good faith in order to comply with this Act or the Rules, Regulations, or guidelines framed under this Act, the expenses of such case shall be borne by the Authority.

Provided that the Authority shall not bear the expenses of a case relating to any act done knowingly or with wrongful intent.

159. Report to be Submitted to the Government of Nepal:–

(1) The Authority shall, within four months from the end of the fiscal year, submit to the Government of Nepal a report containing the following details:-

(a) details of its own work and achievements during the preceding fiscal year,

(b) the overall status of the country's insurance business,

(c) details of achievements in accordance with the annual insurance policy,

(d) measures for improvement to be made in the insurance sector.

(2) The Government of Nepal shall make public the report under sub-section (1).

160. Delegation of Authority:–

(1) The Authority may delegate the authority conferred on it under this Act or the Rules framed under this Act to the Chairperson, a member, or another committee or sub-committee constituted by the Board.

Provided that the following authority shall not be delegated:-

(a) granting prior approval to establish an insurance company,

(b) granting a licence to an insurer,

(c) suspending insurance business,

(d) cancelling the licence of an insurer,

(e) constituting a Special Management Group under Section 103,

(f) issuing Regulations or guidelines.

(2) The Chairperson may delegate the authority received under this Act to other officer-level employees of the Authority, for smooth conduct of the work of the Authority.

161. Contact with the Government of Nepal:–

The Authority shall maintain contact with the Government of Nepal through the Ministry.

162. Coordination with Public Bodies:–

For carrying out work under this Act, the Authority may coordinate and cooperate with, and exchange assistance and information with, constitutional bodies and organs, regulatory bodies, banks and financial institutions, various organized institutions, and other public bodies.

163. International Cooperation and Relations:–

(1) The Authority shall represent Nepal in international associations and organizations regarding insurance policy, insurance supervision and regulation, insurance underwriting, insurance claims, reinsurance, monitoring, and other related matters within its jurisdiction.

(2) The Authority may provide insurance supervision and regulation related services to foreign governments, foreign insurance regulatory bodies, and international associations and organizations, and may itself also receive such facilities from them.

(3) The Authority shall cooperate to expand cooperation and relations with international associations and organizations working to achieve financial and economic stability through international insurance regulation.

(4) The Authority shall, when participating in international associations and organizations relating to insurance as Nepal's representative, assume the responsibility of bearing and accomplishing the work to be performed on behalf of its country.

164. Government of Nepal May Give Directions:–

(1) The Government of Nepal may give necessary directions to the Authority for the promotion of insurance business and improvements to be made therein.

(2) It shall be the duty of the Authority to comply with a direction given under sub-section (1).

165. Services of Expert to be Made Available:–

Where the Government of Nepal so requests, the Authority shall make available the services of its own experts.

166. Power to Issue Orders and Directions:–

The Authority may issue orders, directions, and guidance to an insurer, insured, insurance intermediary, or other insurance service provider in order to achieve the objectives under this Act.

167. To be Governed by this Act:–

(1) Matters provided for in this Act shall be governed by this Act, and other matters shall be governed by prevailing law.

(2) Notwithstanding anything contained in sub-section (1), matters mentioned in the prevailing law relating to prevention of money laundering or financing of terrorist activities shall be governed by that Act.

168. Power to Frame Rules:–

(1) The Government of Nepal may frame necessary Rules to implement this Act.

(2) Without prejudice to the generality of sub-section (1), such Rules may make provision on the following matters:-

(a) the functions, duties, and powers of the Chairperson,

(b) the whistle-blowing policy,

(c) the collective insurance fund (insurance pool),

(d) micro-insurance.

169. Power to Frame and Implement Regulations:–

The Authority may frame and implement Regulations, subject to this Act and the Rules framed under this Act.

170. Power to Frame and Implement Guidelines and Procedures:–

The Authority may frame and implement guidelines and procedures necessary to conduct its work, subject to this Act and the Rules framed under this Act.

171. Measurement of Implementation of the Act:–

Within one year of completion of five years from the commencement of this Act, and thereafter within one year after every five years, the Ministry shall measure the implementation of the Act and submit a report thereon to the concerned committee of both Houses of the Federal Parliament.

172. Repeal and Saving:–

(1) The following Acts are repealed:-

(a) Insurance Act, 2049,

(b) National Insurance Corporation Act, 2025.

(2) Under the Act repealed by sub-section (1):-

(a) The Insurance Board shall, after the commencement of this Act, be automatically converted into the Authority.

(b) The Rules, Regulations, directions, licences issued, orders given, or acts done or performed by the Insurance Board shall be deemed to have been done or performed by the Authority.

(c) The movable and immovable property or liabilities of the Insurance Board shall automatically be converted into the movable and immovable property or liabilities of the Authority.

(d) The Chairperson and members of the Insurance Board shall, after the commencement of this Act, automatically become the Chairperson and members of the Authority, and may remain in such office until completion of their term.

(e) Employees working in the Insurance Board shall, after the commencement of this Act, automatically be converted into employees of the Authority.

(f) Cases pending before the Insurance Board shall automatically be transferred to the Authority, and shall be proceeded with and concluded under this Act.

(3) Under the Act repealed by clause (b) of sub-section (1):-

(a) The National Insurance Corporation so constituted shall, within one year, be converted into a public limited company.

(b) Employees working in the National Insurance Corporation shall automatically be converted into employees of the company under clause (a).

(c) The movable and immovable property and liabilities existing in the National Insurance Corporation shall automatically be converted into the movable and immovable property and liabilities of the company under clause (a).

(d) Policies issued by the National Insurance Corporation shall be deemed to be policies issued by the company under clause (a).

Schedule
(Relating to Section 11 and Sub-section (6) of Section 47)

Format of Oath

I, ... (full name of the concerned Chairperson or Member), do solemnly affirm / swear in the name of God that, remaining fully loyal to the country and the people and to the Constitution of Nepal, under which the sovereignty and state authority of Nepal are vested in the Nepali people, I shall perform the functions of the office of Chairperson / Member of the Board of Directors of the Nepal Insurance Authority / Chairperson / Member of the Board of Directors of (name of the insurance company) ..... subject to the prevailing law, with honesty, having the welfare of the country and the people at heart, without fear of anyone, without partiality, without prejudice or ill will, and maintaining official secrecy.

Date: Signature: